In standard order

AAA standards — full notes in standard order

Same SM-checked content as the Twist Notes (incl. Nov 2026 RTP), regrouped by standard: SQC 1 → SA 200 … SA 810 → SRE → SAE → SRS. SA = Standard on Auditing; SRE = Standard on Review Engagements; SAE = Standard on Assurance Engagements; SRS = Standard on Related Services; TCWG = those charged with governance; FS = financial statements.

SA SQC 1 and SA 220 — Quality control

Two standards, two levels

→ **SQC 1** = quality at the level of the **firm**; applies to **all** engagements (audits, reviews of historical financial information, other assurance and **related services**) and to all firms irrespective of constitution. Responsibility: **CEO / managing partners**.

→ **SA 220** = quality at the level of the **individual audit engagement**; audits only. Responsibility: **engagement partner**. SA 220 is premised on the firm being subject to SQC 1 (SQC 1 is a sine qua non); engagement teams are entitled to rely on the firm's system unless information from the firm or others suggests otherwise.

→ Other facilitators: other SAs, Code of Ethics, certain provisions of the Companies Act, 2013. Review mechanisms: **Peer Review Board, Quality Review Board, NFRA**.

→ SQC 1 objective: reasonable assurance that (i) firm and personnel comply with professional standards and regulatory and legal requirements and (ii) reports issued by the firm or engagement partners are appropriate in the circumstances.

This SM covers SQC 1 and SA 220 only. SQM 1 components are not in the SM: answer every "elements" question with the six SQC 1 elements below.

SQC 1 — six elements

Asked: Jan 2026 Q1(c)

1. Leadership responsibilities for quality within the firm
2. Ethical requirements
3. Acceptance and continuance of client relationships and specific engagements
4. Human resources
5. Engagement performance
6. Monitoring

→ Policies and procedures are **documented and communicated** to personnel; the firm encourages personnel to communicate their views or concerns on quality control matters (feedback).

2.1.1 Leadership responsibilities for quality

Asked: Jan 2026 Q1(c)

→ Internal culture that quality is essential. **CEO or managing partners assume ultimate responsibility** for the system of quality control.

→ Persons given **operational responsibility** by the CEO/managing partners: **sufficient and appropriate experience, ability, and the necessary authority**.

→ Business strategy is subject to the **overriding requirement to achieve quality in all engagements**. Ensure: (a) management responsibilities assigned so that **commercial considerations do not override quality**; (b) policies on **performance evaluation, compensation and promotion (including incentive systems)** demonstrate the overriding commitment to quality; (c) **sufficient resources** for development, documentation and support of QC policies.

Examiner's twist: The story is about an expanding firm (partner good at bringing clients but weak on quality oversight; incentives on revenue; resources spent on marketing) and asks "which element?". Answer **Leadership responsibilities**, not Human resources, even though incentives and promotions appear: the SM places incentive systems under consideration (b) of leadership. The scoring line: "the firm's business strategy is subject to the overriding requirement to achieve quality in all engagements", then (a), (b), (c). TYK 1 (managing partner pushing a client who offers 25% higher fee, regulatory inquiries, auditor resigned) = same element plus integrity of client.

2.1.2 Ethical requirements and independence

- → Fundamental principles: integrity, objectivity, professional competence and due care, confidentiality, professional behaviour. Emphasised by: actions of leadership, awareness and training, monitoring, a process for dealing with non-compliance.
- → Independence policies (firm, personnel, experts contracted by the firm, network firm personnel) enable the firm to: (a) **communicate** independence requirements to personnel; (b) **identify and evaluate** threats and eliminate or reduce them by safeguards, or withdraw.
- → Engagement partners give the firm client information; personnel promptly notify threats; all breaches promptly notified.
- → **At least annually**: written confirmation of compliance with independence policies from all personnel required to be independent.
- → **Familiarity threat**: criteria consider (a) nature of engagement, including public interest and (b) length of service of senior personnel. Safeguards: **rotation** of senior personnel or **EQCR**. Listed entity audits: engagement partner rotated after a pre-defined period, **normally not more than seven years**, except where the listed audit is conducted by a **sole practitioner** (mandatory peer review of such firms instead).

Examiner's twist: TYK 2 — a paid CA on a bank stock audit promises a clean stock report in return for the statutory audit. Asked "how does it reflect on the QC system?": QC policies must be documented and **communicated** to personnel; personnel are not sensitised to SQC 1. Do not stop at "violates the Code".

2.1.3 Acceptance and continuance

- → Information decides three things: **integrity** of client, promoters, KMP; **competence** (capabilities, time, resources); **compliance with ethical requirements**.
- → Obtain information at three points: new client; continuing an existing engagement; new engagement with an existing client. Issues identified but client accepted → **document how the issues were resolved**.
- → **Integrity matters** (7): identity and business reputation of principal owners, key management, related parties, TCWG · nature of operations and business practices · attitude to aggressive interpretation of accounting standards and internal control environment · client aggressively concerned with keeping fees as low as possible · indications of inappropriate scope limitation · indications of money laundering or other criminal activities · reasons for proposed appointment and non-reappointment of previous firm. Knowledge grows with an ongoing relationship.
- → **Capability matters** (6): industry/subject knowledge · experience of regulatory or reporting requirements (or ability to gain it) · sufficient personnel · experts available · individuals eligible for EQCR available · ability to meet the reporting deadline.
- → Conflict of interest resolved **before** accepting.
- → Information that would have caused the firm to decline, obtained later → consider (a) professional and legal responsibilities, including reporting to the appointing person(s) or regulators; (b) possibility of withdrawing from the engagement or from both engagement and client relationship.
- → **Withdrawal policies** (4): discuss with appropriate level of management and TCWG the appropriate action · if withdrawing, discuss withdrawal and reasons · consider professional, regulatory or legal requirement to remain in place, or to report the withdrawal and reasons to regulators · document significant issues, consultations, conclusions and basis.

2.1.4 Human resources

- → Sufficient personnel with capabilities, competence and commitment to ethical principles. Covers recruitment, compensation, training, career development, performance evaluation; emphasis on CPD.
- → Each engagement assigned to an **engagement partner**. Policies require: (a) identity and role of EP communicated to key members of client management and TCWG; (b) EP has appropriate capabilities, competence, authority and time; (c) EP's responsibilities clearly defined and communicated to the EP.

2.1.5 Engagement performance — consultation, EQCR, differences

Asked: Sep 2025 Q1(a); May 2026 MCQ

- → Consistency through briefing teams, processes for complying with standards, supervision and training, methods of review, documentation.
- → **Consultation** on difficult or contentious matters, with people within or outside the firm with specialised expertise; a firm without internal resources may use advisory services of other firms or professional and regulatory bodies; document issues and results.
- → **EQCR**: significant judgments reviewed for an objective view **before the report is issued**. Extent depends on complexity and risk of an inappropriate report. **Does not reduce the engagement partner's responsibility. Mandatory for all audits of financial statements of listed entities**; for others the firm devises criteria.
- → **EQCR for listed audits (SQC 1, 8 points):** team's evaluation of firm's independence · significant risks and responses · judgments, particularly materiality and significant risks · appropriate consultation on differences of opinion / contentious matters and conclusions · significance and disposition of corrected and uncorrected misstatements · matters to be communicated to management, TCWG and, where applicable, regulators · whether working papers selected reflect work on significant judgments and support conclusions · appropriateness of the report to be issued.
- → **Who can be EQCR:** a partner, other person in the firm (**member of ICAI**), suitably qualified external person (e.g. partner or experienced employee of another firm), or a team of such individuals. For listed audits: **sufficient and appropriate experience and authority to act as audit engagement partner on listed entity audits**.
- → **Objectivity:** EQCR must not participate in the engagement or make decisions for the team. EP **may consult** the EQCR during the engagement without compromising eligibility; if consultations become significant and objectivity cannot be kept, another individual within the firm or a suitably qualified external person takes the role of EQCR or of the person consulted. Firm policies provide for **replacement** of an EQCR whose objectivity may be impaired.
- → **Differences of opinion** (within team, with those consulted, EP vs EQCR): report issued **only after resolution**. EP rejects EQCR's recommendation → firm's established procedures, e.g. consult another practitioner or firm, or a professional or regulatory body.

Examiner's twist: (1) TYK 4 — team got an ICAI expert opinion, so "EQCR lost relevance": wrong; the expert opinion addresses interpretation, EQCR is a separate mandatory requirement for listed audits. (2) Sep 2025 — a person with no listed-audit experience "signs a few working papers": fails both eligibility (experience and authority to act as EP on listed audits) and the documentation requirement. (3) EQCR "decides the discount rate" for the team: objectivity lost, replace.

Engagement documentation — assembly, ownership, retention

- → **Assembly**: complete final engagement files on a timely basis after reports are finalised — **not more than 60 days after the date of the auditor's report** for audits; other engagements: limits appropriate to the engagement. Two or more reports on the same subject matter (e.g. component report for group consolidation, later statutory report) → time limit applied to **each report as a separate engagement**.
- → Policies maintain **confidentiality, safe custody, integrity, accessibility and retrievability**.
- → **EQCR documentation (SQC 1)**: (a) firm's EQCR procedures performed; (b) EQCR completed before the report is issued; (c) reviewer not aware of unresolved matters making significant judgments/conclusions inappropriate.
- → **Ownership**: documentation is the **property of the firm** unless law or regulation says otherwise; extracts may be given to clients if this does not undermine validity of the work or independence.
- → **Retention**: long enough for monitoring, or longer if law requires. Audits: **ordinarily no shorter than seven years from the date of the auditor's report, or, if later, the date of the group auditor's report**.
- → Scanned paper documents (TYK answer 9): copies reflect entire content including **manual signatures, cross-references and annotations**; integrated into files with indexing and sign-off; retrievable and printable. Working papers should show the **source** (client-prepared vs team-prepared).

Number	What it is	Counted from	Trigger words → which one is asked
60 days	Assembly of final audit file	Date of auditor's report	"file completed", "Ramanujan says file must be ready before report" (wrong: assembly is after)
7 years (retention)	Minimum retention of audit documentation	Auditor's report or, if later, group auditor's report	"destroy old files", "storage cost", "component of a group"
7 years (rotation)	Normal maximum period before rotating EP on listed audit	Length of service on the engagement	"same partner since …", "familiarity", "listed"; sole practitioner = exception
At least annually	Written independence confirmation from personnel	—	"confirmation obtained once in two years"

2.1.6 Monitoring

Asked: Nov 2024 Q1(a)

- → Policies are **relevant, adequate, operating effectively and complied with in practice**; include an **ongoing consideration and evaluation** of the system, including a **periodic inspection of a selection of completed engagements**.
- → Factors (6): whether the QC system is appropriately **designed and effectively implemented** · whether **new developments** in professional standards and legal/regulatory requirements are reflected · monitoring entrusted to a **partner or other person with sufficient and appropriate experience and authority** · dealing with **complaints and allegations** of non-compliance (from within or outside the firm) · **remedial action** against personnel who did not conform · action when **deficiencies** in design/operation or non-compliance are identified.

SA 220 — objective and the six matters

Asked: Sep 2025 Q1(a); MTP Nov 2026

- Objective: QC procedures at engagement level giving reasonable assurance that (a) the audit complies with professional standards and regulatory and legal requirements; (b) the auditor's report is appropriate. TYK 5: CARO clause vii(a) reported as "generally regular" → not qualitative, audit does not comply with regulatory and legal requirements → breaches SA 220 objective.
- **3.1 Leadership on audits:** EP takes responsibility for overall quality on each audit; emphasises (a) importance of (i) complying with standards and law, (ii) complying with firm's QC policies, (iii) issuing appropriate reports, (iv) team's ability to **raise concerns without fear of reprisals**; (b) quality is essential.
- **3.2 Ethical:** identify a threat to independence that safeguards may not reduce; **report to relevant persons within the firm** for action — eliminate the activity/interest or withdraw where legally permitted. EP forms a conclusion on compliance with independence, using information from the firm and network firms.
- **3.3 Acceptance/continuance:** on SQC 1 lines plus **significant matters arising in the current or previous engagement** and their implications.
- **3.4 Assignment of engagement teams:** team and any **auditor's experts not part of the team** collectively have appropriate competence and capabilities.
- **3.5 Engagement performance:** EP responsible for direction, supervision, performance; appropriate report; **review of audit documentation before the report**; sufficient appropriate evidence; consultation on difficult or contentious matters.
- **3.6 EQCR — EP shall:** (a) determine that an EQCR has been appointed; (b) discuss significant matters, including those identified in the EQCR, with the reviewer; (c) **not date the auditor's report until completion of the EQCR**.
- **EQCR evaluation (all EQCRs):** (a) discussion of significant matters with EP; (b) review of FS and proposed report; (c) review of selected documentation on significant judgments; (d) evaluation of conclusions and appropriateness of proposed report. **Listed — also:** (a) team's evaluation of firm's independence; (b) appropriate consultation on differences/contentious matters; (c) documentation selected reflects work on significant judgments.
- Differences of opinion: team follows firm's policies for resolving them.
- **3.7 Monitoring:** EP considers results of the firm's monitoring as shown in the latest information circulated by the firm (and network firms), and whether deficiencies may affect the audit.
- **3.8 Documentation — EP:** (a) ethical issues and how resolved; (b) conclusions on independence and supporting discussions; (c) conclusions on acceptance/continuance; (d) nature, scope and conclusions of consultations. **EQCR documents:** (a) firm's EQCR procedures performed; (b) EQCR completed **on or before the date of the auditor's report**; (c) not aware of unresolved matters.

Examiner's twist: Fieldwork done, EP review done, report dated 15 May, EQCR completed 18 May (TYK 10; MTP Nov 2026 has 25 May vs 28 May). The story stresses "sufficient evidence already obtained". The scoring line: EP shall **not date the report until completion of the EQCR**; SA 700 dates the report not earlier than the date of sufficient appropriate evidence, and for listed audits the EQCR **assists in determining** whether that evidence has been obtained. Matters from EQCR "considered subsequently" is not allowed — they must be resolved on or before the report date.

SQC 1 element (firm)	SA 220 matter (engagement partner)	Key difference	Trigger words → which one is asked
*Leadership responsibilities for quality **within the firm***	*Leadership responsibilities for quality **on audits***	*CEO/MP culture and strategy vs EP's messages to the team (raise concerns without reprisals)*	*"CEO", "incentive", "business strategy" → SQC 1; "engagement partner told the team" → SA 220*
Ethical requirements	*Relevant ethical requirements*	*Firm policies, annual confirmation, rotation vs EP identifies threat and reports within firm*	*"all personnel", "annually" → SQC 1; "this audit", "EP learns of a threat" → SA 220*
*Acceptance and continuance of client relationships and **specific engagements***	*Acceptance and continuance of client relationships and **audit engagements***	*SA 220 adds significant matters from current/previous audit*	*"new client", "money laundering" → SQC 1 integrity list*
Human resources	***Assignment of engagement teams***	*Firm-wide HR vs team + auditor's experts collectively competent*	*"recruitment, training, CPD" → HR; "team lacks IT/valuation skill on this audit" → assignment*
Engagement performance	*Engagement performance (+ EQCR)*	*Firm policies on consultation, EQCR criteria, 60 days, 7 years vs EP's direction, supervision, review, dating*	*"file", "retention" → SQC 1; "dated the report" → SA 220*
Monitoring	*Monitoring*	*Firm inspects completed engagements vs EP considers firm's monitoring results*	*"periodic inspection", "complaints" → SQC 1; "latest circular of the firm" → SA 220*

SQC 1 vs SA 220 — nature, scope, applicability

Point	SQC 1	SA 220
Applies to	*Entire firm; responsibility on CEO / managing partners*	*A particular audit engagement; engagement partner*
Engagements	*Audits, reviews of historical financial information, other assurance and related services (TYK: compilation for Beta Pvt Ltd → related service → SQC 1 applies)*	*Audit engagements only*
Content	*Setting up the QC system of policies and procedures*	*Engagement team implements QC procedures for the audit*
Relationship	*Base system*	*Premised on firm being subject to SQC 1*

EQCR — the three look-alike lists

List	Contents	Trigger words → which one is asked
SQC 1: EQCR for listed audits "includes considering" (8)	*Independence evaluation, significant risks + responses, materiality judgments, consultation, corrected/uncorrected misstatements, matters to communicate (incl. regulators), working papers, appropriateness of report*	*"as per SQC 1", "aspects to be looked into by the EQCR" (TYK 8 answer uses the SA 220 listed list — either earns marks if the standard is named)*
SA 220: evaluation by any EQCR (4)	*Discuss with EP; review FS and proposed report; review selected documentation; evaluate conclusions and report*	*"what does the evaluation involve"*
SA 220: listed — "shall also consider" (3)	*Independence evaluation; consultation; documentation reflects significant judgments*	*"listed", "additionally"*

5. Mechanisms for review of quality

Body	Set up by / basis	Role as per SM	Trigger words
Peer Review Board	Council of ICAI	Ensure members comply with technical, professional, ethical standards incl. regulatory requirements; proper systems incl. documentation. Reviews systems and procedures of the **Practice Unit** for the peer review period. Unqualified report → **peer review certificate**; qualified → informed certificate cannot be issued, reasons, and due date of **follow-on review**	"Practice Unit", "certificate", "sole practitioner auditing a listed entity"
Quality Review Board	Central Government; members nominated by Central Government and ICAI Council	(a) recommendations to Council on quality of services; (b) review quality of services incl. audit; (c) guide members to improve quality. Auditors selected on **risk-based approach**; technical reviewers empanelled on engagement basis. Covers entities **other than Rule 3 of NFRA Rules, 2018** and those referred to QRB by NFRA	"unlisted company", "technical reviewer"
NFRA	Section 132(1), Companies Act 2013	Monitor and enforce compliance with accounting and auditing standards, oversee quality of service — s.132(2); investigation — s.132(4) of auditors of listed, insurance, banking and other companies under Rule 3 of NFRA Rules, 2018	"listed company audit quality", "investigation"

Examiner's twist: A case about a listed company's audit quality, asking "which body reviews?" → NFRA (listed falls under Rule 3); QRB can review only entities outside Rule 3 or those referred by NFRA. A sole practitioner auditing a listed entity → no rotation, but mandatory peer review.

Beyond the SM (practical): firms usually run a pre-issuance checklist that matches the auditor's report with the FS (profit vs loss, cash flow statement exempt for small company), the very lapses in CA Jagriti's opening case.

SA 200, 210, 230

SA 200 / 210 / 230 — what this SM gives you

- SA 200: overall responsibilities; plan and perform with **professional skepticism**; misstatements arise from **errors or frauds**. Inherent limitations of SA 200 are greater for fraud and for non-compliance with laws (below).
- SM note: SA 200, SA 210 and SA 230 are covered in depth at Intermediate; at Final their application may come as a **case study**.
- **Engagement letter links in this chapter:** auditor's responsibilities are often in the engagement letter; where law does not require TCWG to agree the terms, giving TCWG a copy of the engagement letter may be an appropriate way to communicate them (SA 260). Agreed terms recorded in the engagement letter include the **expected form and content of the auditor's report**. Joint auditors obtain a **common engagement letter and a common management representation letter** (SA 299).
- Documentation time limits used in answers come from SQC 1 (Ch 1): assembly ≤ 60 days after report date; retention ordinarily ≥ 7 years.

SA 240 — Fraud

SA 240 — objectives, fraud, two types

Asked: Jan 2026 Q5(b), Q6(c)

- Objectives: (a) identify and assess RoMM due to fraud; (b) obtain SAAE on assessed risks through appropriate responses; (c) respond appropriately to identified or suspected fraud.
- **Fraud** = intentional act by management, TCWG, employees or third parties, using deception to obtain an unjust or illegal advantage. Fraud vs error = **intentional or unintentional**. Auditor is concerned only with fraud causing material misstatement and **does not make legal determinations**.
- Two types: **fraudulent financial reporting** and **misappropriation of assets**; both involve **incentive/pressure, perceived opportunity, rationalisation**.
- FFR accomplished by: manipulation, falsification (incl. forgery) or alteration of records · misrepresentation or intentional omission of events/transactions · intentional misapplication of accounting principles. Management may want to **reduce** earnings (tax) or **inflate** them (bank financing).
- Override techniques (6): fictitious JEs near period end · inappropriate adjustment of assumptions/judgments for estimates · omitting, advancing or delaying recognition · concealing facts · complex transactions structured to misrepresent · altering records and terms of significant unusual transactions.
- Misappropriation (often employees, small amounts; management can conceal better): embezzling receipts · stealing physical assets or IP · paying for goods/services not received (fictitious vendors/employees, kickbacks) · personal use of assets (collateral for personal loan).

Who is responsible

- **Primary responsibility** for prevention and detection: **TCWG and management**; emphasis on **prevention** (reduces opportunity) and **deterrence** (likelihood of detection and punishment); culture of honesty, active oversight by TCWG.
- Auditor: **reasonable assurance** that FS as a whole are free from material misstatement, whether fraud or error. Risk of not detecting fraud > error (concealment, forgery, collusion — collusion makes false evidence look persuasive). Detection depends on skill of perpetrator, frequency and extent of manipulation, degree of collusion, size of amounts, seniority. Management fraud is harder to detect than employee fraud.
- Auditor maintains skepticism, considers management override, and recognises that procedures effective for error may not detect fraud.

Fraud risk factors

Asked: Jan 2026 Q5(b)

- Definition: events or conditions indicating an **incentive or pressure** to commit fraud or providing an **opportunity**. They do not necessarily indicate fraud, but have often been present where fraud occurred. Cannot easily be ranked; whether present and relevant is a matter of **professional judgment**.

Head	Fraudulent financial reporting (examples)	Misappropriation of assets (examples)
Incentives / pressures	*Financial stability threatened: competition with declining margins; rapid change/obsolescence/interest rates; falling demand; operating losses threatening bankruptcy or takeover; negative operating cash flows while reporting earnings growth; rapid growth or unusual profitability vs industry; new accounting/statutory requirements. Third-party pressure: analysts' expectations, optimistic press releases; need for debt/equity financing (R&D, capex); marginal ability to meet listing or covenant requirements; effect of poor results on pending business combinations or contracts. Personal finances of management/TCWG: significant financial interests; bonuses/options/earn-outs on aggressive targets; personal guarantees. Excessive pressure to meet TCWG targets.*	*Personal financial obligations; adverse relationships with employees having access to cash/assets: known or anticipated layoffs, changes to compensation or benefit plans, promotions/rewards inconsistent with expectations.*
Opportunities	*Significant RPTs outside ordinary course or with related entities not audited / audited by another firm; dominance allowing non-arm's-length terms; significant estimates difficult to corroborate; unusual complex transactions near period end ("substance over form"); operations across borders; intermediaries without business justification; bank accounts/subsidiaries in tax havens without justification. Ineffective monitoring of management: domination by one person or small group (non owner-managed) without compensating controls; ineffective TCWG oversight. Complex/unstable structure: unclear controlling interest; unusual legal entities; high turnover of senior management, legal counsel, TCWG. Deficient internal control: inadequate monitoring of controls; high turnover or ineffective accounting/IA/IT staff; ineffective accounting systems.*	*Large cash on hand; inventory small, high value or in high demand; easily convertible assets (bearer bonds, diamonds, computer chips); small marketable fixed assets. Inadequate controls: segregation of duties, oversight of senior management expenses, supervision of remote locations, job applicant screening, record keeping, authorisation, physical safeguards, reconciliations, documentation of returns, **no mandatory vacations** for key control staff, management's poor IT understanding, access controls over event logs.*
Attitudes / rationalisations	*Ineffective communication of values/ethics; non-financial management's preoccupation with accounting policies/estimates; known history of securities law violations or fraud claims; excessive interest in stock price/earnings trend; committing to aggressive forecasts; **failing to remedy known significant deficiencies**; minimising earnings for tax; low morale of senior management; owner-manager mixes personal and business; shareholder disputes in closely held entity; justifying marginal accounting on materiality; strained relationship with current/predecessor auditor (disputes, unrealistic time constraints, restricted access, domineering behaviour).*	*Disregard for monitoring; overriding controls or not remedying deficiencies; displeasure with entity; changes in behaviour or lifestyle; **tolerance of petty theft**.*

Examiner's twist: *The story lists 6–8 facts and asks only for "incentives/pressures and opportunities for FFR" (Jan 2026). Do not list attitudes; label each fact under its head. Traps: "failure to act on internal auditor's deficiencies" is an **attitude** (TYK 2), not an opportunity; "need for huge capex to stay competitive" is **pressure** (TYK 1: revenue 750 → 1,000 crore with no capacity change); "high turnover of accounting staff" is an **opportunity** (deficient internal control); "small high-value inventory" is misappropriation opportunity, not FFR.*

Skepticism, team discussion, risk assessment

→ Skepticism throughout, **notwithstanding past experience** of honesty and integrity of management and TCWG. Records may be accepted as genuine unless reason to believe otherwise; doubt on authenticity or undisclosed modified terms → **investigate further**; inconsistent responses of management/TCWG → investigate.

→ Team discussion: how and where FS are susceptible to fraud, **notwithstanding** beliefs that management and TCWG are honest.

→ Risk assessment: inquiries of management and others; how TCWG oversee management's fraud-risk process and controls; unexpected relationships from analytical procedures; evaluate whether fraud risk factors are present.

→ Revenue recognition: presumption of fraud risk; may be rebutted, e.g. single type of simple revenue (leasehold revenue from a single unit rental property). Rebutted → **document reasons**. Complex revenue or weak controls → high probability of fraud risk (TYK 14, Arihant ₹43 crore unrecorded bookings, part in CFO's account).

Responses to fraud risk

→ **FS level** (3): (a) assign and supervise personnel according to knowledge, skill and ability and the fraud risk; (b) evaluate whether selection and application of accounting policies (subjective measurements, complex transactions) indicate earnings management; (c) incorporate **unpredictability** in nature, timing and extent.

→ **Assertion level**: change NTE for more reliable/relevant evidence. SM example: earnings pressure → risk of inflated sales (terms precluding recognition, invoicing before delivery) → **external confirmations of sales agreement details** (date, rights of return, delivery terms) plus **inquiries of non-financial personnel**.

→ **Management override**: present in all entities; unpredictable → a fraud risk and a **significant risk**. **Irrespective of assessment**: (a) test journal entries and other adjustments; (b) review estimates for **bias**; (c) evaluate **business rationale** of significant transactions outside normal course or unusual. Determine whether other procedures are needed.

→ **Evaluation**: final analytical procedures may show an unrecognised fraud risk. Misstatement indicative of fraud → consider reliability of representations; fraud is **unlikely to be an isolated occurrence**. Misstatement (material or not) that may be fraud involving **senior management** → re-evaluate fraud risk and NTE; consider collusion with employees, management or third parties when reconsidering evidence.

Unable to continue — exceptional circumstances

Asked: Jan 2026 Q6(c) OR

→ (a) Determine professional and legal responsibilities, including any requirement to report to the person(s) who made the appointment or to regulators;

→ (b) Consider whether it is appropriate to withdraw, **where withdrawal is legally permitted**;

→ (c) If withdrawing: (i) discuss withdrawal and reasons with appropriate level of management and TCWG; (ii) determine whether there is a professional or legal requirement to report the withdrawal and reasons to the appointing person(s) or regulators.

Examiner's twist: PMP Industries (₹20 crore fictitious sales, ₹8 crore missing inventory, MD threatens legal action, Board divided). The examiner wants the three-step list, not an opinion paragraph. One line that scores: "withdrawal only where legally permitted". Also note fraud communication to TCWG and, from the SM's TYK 14 answer, reporting under section 143(12) of frauds above **₹1 crore** to the Central Government within the prescribed time.

Representations, communication, documentation

- → **Written representations** from management (and TCWG where applicable) (4): (a) responsibility for internal control to prevent and detect fraud; (b) disclosed results of management's fraud risk assessment; (c) disclosed knowledge of fraud/suspected fraud involving management, employees with significant roles in internal control, or others where material; (d) disclosed allegations of fraud communicated by employees, former employees, analysts, regulators or others.
- → **Management:** fraud identified or indicated → communicate on a timely basis to the appropriate level of management.
- → **TCWG** (unless all TCWG manage the entity): fraud involving management, employees with significant roles in IC, or others causing material misstatement → timely. **Suspected management fraud** → communicate suspicions **and discuss NTE of procedures** needed to complete the audit. Plus any other fraud matters relevant to TCWG.
- → **Outside the entity:** determine whether there is a responsibility to report; legal duty may override confidentiality (e.g. bank auditor → RBI). Some entities: duty to report misstatements where management and TCWG fail to act.
- → **Documentation:** significant decisions from team discussion; identified and assessed fraud risks at FS and assertion level; overall responses and NTE linked to assertion-level risks; results, including management-override procedures; communications about fraud to management, TCWG, regulators and others; reasons for rebutting the revenue presumption.

SA 250 — Laws and regulations

SA 250 — scope, two categories, objectives

Asked: Sep 2025 Q2(a); May 2026 MCQ

- Does **not** apply to other assurance engagements where the auditor is specifically engaged to test and report separately on compliance with laws.
- Heavily regulated (banks, chemical companies) vs only operating laws (occupational safety and health). Non-compliance → fines, litigation, other consequences that may be material.
- Objectives: (a) SAAE on compliance with laws having a **direct effect** on material amounts and disclosures; (b) **specified procedures** to identify non-compliance with other laws that may be material; (c) respond appropriately to identified or suspected non-compliance.
- Responsibility for compliance: **management, with oversight of TCWG**. Entity policies (7): monitor legal requirements; internal control; code of conduct; training; monitor code and discipline; legal advisors; register of significant laws and record of complaints. Larger entities: internal audit, audit committee, compliance function.

Point	Category (a): direct-effect laws	Category (b): other laws
Nature	Generally recognised to have a direct effect on determination of material amounts and disclosures — e.g. **tax and labour laws**; form and content of FS; industry-specific reporting	No direct effect on amounts/disclosures but compliance may be **fundamental** to operating aspects, ability to continue business, or avoiding material penalties — e.g. **operating licence**, **regulatory solvency**, **environmental** regulations
Auditor's responsibility	**Obtain sufficient appropriate audit evidence** about compliance	**Limited to specified audit procedures**: (a) inquire of management and, where appropriate, TCWG whether in compliance; (b) **inspect correspondence** with licensing or regulatory authorities
Trigger words	"GST", "income-tax", "PF/ESI", "gratuity", "Schedule III"	"licence", "NOC", "pollution board", "Net Owned Funds", "certificate of registration", "factory permit"

- Fundamental-effect laws may cause the entity to **cease operations** or question **going concern**: bank — capital or investment requirements; NBFC — failure to obtain certificate of registration under RBI Act or NOF below the RBI limit.
- Auditor is **not responsible for preventing** non-compliance and cannot be expected to detect all. Inherent limitations are **greater** because: many operating laws do not affect FS and are not captured by information systems; non-compliance may be concealed (collusion, forgery, failure to record, override, misrepresentation); whether an act is non-compliance is **ultimately for a court of law**. The further removed from FS, the less likely the auditor is to notice.
- Understanding: (a) legal and regulatory framework of entity and industry; (b) how the entity complies. Remain alert during other procedures. **Written representations**: all known instances of non-compliance or suspected non-compliance have been disclosed.
- **When identified/suspected**: obtain (a) understanding of the nature of the act and circumstances; (b) further information on possible effect on FS. Discuss with management (and TCWG). No sufficient information and effect may be material → **consider legal advice**. Still insufficient → evaluate effect on opinion. Evaluate implications for risk assessment and reliability of written representations.

SA 250 — reporting

To whom	Rule
TCWG	Unless all TCWG are in management (and already aware): communicate non-compliance coming to attention, **other than clearly inconsequential**. Intentional and material → **as soon as practicable**. Management or TCWG involved → **next higher level** (audit committee, supervisory board); none exists, or communication may not be acted upon, or unsure whom to report → **consider legal advice**.
Auditor's report — material, not adequately reflected	**Qualified or adverse** (SA 705) — e.g. child labour (TYK answer 6), Fire NOC (Sep 2025)
Auditor's report — precluded by management/TCWG	**Qualified or disclaimer** (scope limitation, SA 705)
Auditor's report — limitation imposed by circumstances	Evaluate effect on opinion per SA 705
Regulators	Determine whether there is a responsibility to report outside the entity

→ Documentation: identified or suspected non-compliance and results of discussion with management, TCWG and outside parties.

Examiner's twist: Management says "compliance with child labour / Fire NOC law is outside your financial audit" (TYK 6, Sep 2025). Answer structure: the auditor is not responsible for preventing non-compliance, but for **other laws** he performs specified procedures; non-compliance can lead to penalties with material effect → check penal provisions and disclosure → if material and not reflected, **qualified or adverse**. MCQ trap (May 2026): for licence-type laws, "obtain SAAE on compliance" is wrong; the answer is "limited to specified procedures (inquiry, inspection of correspondence)". DGGI notice for fictitious invoices (TYK 3) = suspected non-compliance with a direct-effect law (GST) plus IRDAI regulations.

SA 240 vs SA 250 — side by side

Point	SA 240 (fraud)	SA 250 (laws and regulations)
Primary responsibility	TCWG and management (prevention and deterrence)	Management with oversight of TCWG
Auditor's level of work	Reasonable assurance; identify, assess, respond	SAAE for direct-effect laws; only specified procedures for other laws
Who decides if it happened	Auditor does not make legal determination of fraud	Ultimately a court of law
Management involved	Communicate suspicions to TCWG and discuss NTE	Communicate to next higher authority (audit committee/supervisory board); else legal advice
Timing word	"Timely basis"	Intentional and material: "as soon as practicable"
Written representations	4 fraud-specific items	All known instances of (suspected) non-compliance disclosed
Exceptional step	Withdraw where legally permitted (3-step list)	Consider legal advice; modify opinion
Trigger words	"fictitious", "forged", "diverted to CFO's account", "bonus on EBITDA"	"notice", "licence", "penalty", "regulator's inspection"

SA 260 — Communication with TCWG

SA 260 — TCWG and objectives

Asked: May 2026 Q2(a)

→ **TCWG**: person(s) or organisation(s) (e.g. corporate trustee) responsible for overseeing strategic direction and accountability, including the financial reporting process; may include management (executive board members, owner-manager). Governance not formally defined (family-owned, some NPOs) → discuss and agree with the **engaging party**; SA 315 understanding of governance is relevant; appropriate persons may vary by matter.

→ Two-way communication assists: (a) understanding audit matters in context and a constructive relationship with independence; (b) auditor obtaining information from TCWG; (c) TCWG overseeing financial reporting, reducing RoMM.

→ Objectives (4): communicate auditor's responsibilities and overview of planned scope and timing; obtain information; provide **timely observations** that are significant; promote effective two-way communication.

What to communicate (four heads)

1. **Auditor's responsibilities**: forming and expressing an opinion on FS prepared by management with TCWG oversight; audit does **not relieve** management or TCWG of their responsibilities.
2. **Planned scope and timing**, including **significant risks**. Does not change the auditor's sole responsibility for strategy and plan. Care: communicating detailed procedures may make them **predictable**, especially where TCWG manage the entity.
3. **Significant findings**: (i) views on significant **qualitative aspects** of accounting practices — policies, **estimates**, disclosures; explain why an acceptable practice is not most appropriate; (ii) **significant difficulties**; (iii) unless all TCWG manage: significant matters discussed/corresponded with management, and **written representations requested**; (iv) circumstances affecting form and content of the report; (v) other significant matters relevant to oversight.
4. **Independence — listed entities**: statement of compliance with independence requirements (team, firm, network firms); all relationships and other matters bearing on independence, including **total fees for audit and non-audit services** by firm and network firms to the entity and components it controls, allocated to categories; related safeguards.

Sub-list	SM items	Trigger words
Significant difficulties (6)	Significant delays, unavailable personnel, unwillingness to provide information · unreasonably brief time · extensive unexpected effort · unavailability of expected information · restrictions by management · unwillingness to make or extend going-concern assessment. May become a scope limitation → modified opinion	"delay", "deadline", "refused data"
Significant matters discussed with management (5)	Significant events/transactions · business conditions and plans affecting RoMM · concerns about management consulting other accountants · discussions on appointment re accounting practices, auditing standards or fees · disagreements (except initial differences later resolved)	"opinion shopping", "fee discussion at appointment"
Form and content of report (5)	Modified opinion (SA 705) · MURGC (SA 570) · KAMs (SA 701) · EOM/OMP (SA 706) · uncorrected material misstatement of other information (SA 720). A draft report may be given to TCWG	"expected to modify", "KAM", "other information"

→ ***Process***: *communicate form, timing and expected general content.* ***In writing***: *significant findings where oral would not be adequate (need not include all matters); independence for listed entities. On a* ***timely basis****. Evaluate adequacy of two-way communication; if inadequate, evaluate effect on risk assessment and evidence and take action.*

→ ***Documentation***: *oral → record in documentation* ***when and to whom****; written →* ***retain a copy****.*

→ ***KAM timing*** *(TYK 4, via SA 701): preliminary views may be communicated when discussing planned scope and timing and discussed further with findings; a draft report may help.*

Examiner's twist: *(1) A listed company's audit committee asks the auditor to "justify independence" and she thinks it is beyond its purview (TYK) — wrong: SA 260 requires the independence communication in listed entities, and the audit committee reviews independence under the Companies Act. (2) May 2026: story about a discount-rate estimate and management delays; the ask is "what to communicate" → qualitative aspects of* ***estimates*** *and significant* ***difficulties****, under "significant findings". (3) "Auditor listed responsibilities, scope and timing, independence — what is missing?" →* ***significant findings*** *(TYK 9).*

SA 265, 315, 330 — Risk and internal control

Audit risk and its components

- **Audit risk:** risk of expressing an inappropriate opinion when FS are materially misstated. AR = IR × CR × DR; AR = RMM × DR; RMM = IR × CR.
- Combined IR and CR is **inversely** related to DR; materiality inversely related to audit risk. Objective: reduce AR to acceptably low level — assess RMM, limit DR.
- **Two levels:** FS level (pervasive — incompetent top accountant affects many assertions) and assertion level (payables valuation low vs inventory valuation high).
- SM TYK 7: IR 40%, controls prevent 75% → CR 25%, RMM 10%; detection satisfaction 60% → DR 40%; **AR 4%**.

Component	Definition key	SM examples / commentary	Trigger words
Inherent risk	Susceptibility of an assertion to material misstatement **assuming no related controls**	Complex calculations; high-value inventory; estimates with measurement uncertainty; lack of working capital; declining industry; technological obsolescence	"nature of business", "product may become obsolete", "foreign funds / political NGO"
Control risk	Entity's IC will not prevent, or detect and correct on a timely basis	Entity-level controls (board oversight, ITGC, HR) pervasive; activity-level relate to assertions; some CR always exists	"no rotation", "same person purchases and pays", "delegation not followed"
Detection risk	Auditor will not detect a material misstatement	Inappropriate procedure; misapplying; misinterpreting results; inverse to RMM	"first-year audit", "inappropriate sampling", "time constraint"

- **Assertions (SA 315):** transactions — occurrence, completeness, accuracy, cut-off, classification; balances — existence, rights and obligations, completeness, valuation and allocation; presentation and disclosure — occurrence and rights and obligations, completeness, classification and understandability, accuracy and valuation.
- **Steps for risk identification** (TYK 11): assess significance and revise materiality for specific balance; likelihood; document assertions affected; impact on each assertion; identify significant risks needing separate response; enquire and document management's response; consider IC (routine/periodic, prevent/detect, manual/automated); unique characteristics; particular inherent characteristics (high-value inventory, complex contracts, no paper trail, single large customer).

Risk-based audit — three phases

- **Risk assessment:** acceptance/continuance; planning; risk assessment procedures (inquiries, inspection, observation); identify controls and assess design and implementation; assess RMM; identify **significant risks** and risks where **substantive procedures alone are not sufficient**; communicate material weaknesses in design/implementation to management and TCWG.
- **Risk response:** consider assertions not addressable by substantive procedures alone (highly automated processing); controls that if tested reduce substantive work; substantive analytics; **unpredictability**; management override; specific procedures for significant risks. Before conclusion, confirm control risk assessment; deviations → revise and modify substantive procedures.
- **Reporting:** change in assessed risk? conclusions appropriate? suspicious circumstances?
- Delegation of powers violated in 5 of 10 claims (TYU 1) → controls not operating → revise CR, RMM, and NTE of substantive procedures.

Internal control — definition, tests of control, scope, limitations

→ **SA 315 definition:** process designed, implemented and maintained by TCWG, management and other personnel for reasonable assurance on reliability of financial reporting, effectiveness and efficiency of operations, safeguarding of assets, compliance with laws.

→ Tests of control needed to support any CR assessment **less than high**; the lower the CR, the more evidence. Consider **how** applied, **consistency** during the period and **by whom**. Observation evidence relates only to the point in time. Different controls at different times → consider each; breakdown for a portion → separate consideration.

→ Scope extends to administrative controls; auditor evaluates only those bearing on reliability of financial records.

→ **Limitations:** cost vs benefit; not directed at unusual transactions; human error; **collusion**; abuse/override by responsible person; management manipulation of transactions or estimates. Gives **reasonable, not absolute** assurance.

Look-alike list	Items	Trigger words → this list
Objectives of IC relating to accounting system (4)	Executed per general/specific authorisation; promptly recorded; assets and records safeguarded from unauthorised access; assets verified at intervals and discrepancies acted on	"objectives of internal control"
Basic accounting control objectives (7)	All transactions recorded; real; properly valued; recorded timely; properly posted; properly classified and disclosed; properly summarised	"limit account balance tests" (TYK 5)
Structure of IC (5)	Segregation of duties; authorisation; adequacy of records and documents; accountability and safeguarding of assets; independent checks	"policies and procedures to achieve objectives"
Components of IC (5)	Control environment; entity's risk assessment process; control activities; information system and communication; monitoring of controls	"components", "framework" (TYK 2)
Elements of control environment (7)	Integrity and ethical values; commitment to competence; participation by TCWG; management's philosophy and operating style; organisational structure; assignment of authority and responsibility; HR policies	"tone at the top", "integrity", "whistle blower oversight"
Control activities (4 categories)	Performance reviews; information processing (application controls and general IT controls); physical controls; segregation of duties	"budget vs actual", "edit checks", "counts compared with records"
Information system — methods and records (5)	Identify and record valid transactions; describe timely for classification; measure value; determine time period; present properly	"infrastructure, software, people, procedures, data"
Monitoring	Ongoing/separate evaluations; management review of bank reconciliations; internal auditors on sales terms; legal department oversight; customer complaints, regulator communications	"whether controls continue to operate over time"

Control activity	SM examples	Do not confuse with
Performance reviews	Actual vs budgets, forecasts, prior period; relating data sets; internal vs external data (TYU 4 — quarterly sales targets)	Monitoring (reviews whether **controls** operate) — performance review reviews **results**
Information processing — application controls	Arithmetical accuracy; maintaining and reviewing accounts and trial balances; **edit checks**; **numerical sequence checks**; manual follow-up of exception reports	General IT controls
Information processing — general IT controls	Program change controls; access to programs/data; new releases of packaged software; system software/utilities that could change data without audit trail	Physical control "authorisation for access to programs and data files"
Physical controls	Physical security of assets; authorisation for access to computer programs and data files; periodic counting and comparison with records	Safeguarding (structure)
Segregation of duties	Different people authorise, record, keep custody	Internal check (wider arrangement of duties)

Entity's risk assessment process — circumstances that create or change risk

Asked: MTP May 2026 S-1 5(b)

→ (a) changes in operating environment; (b) new personnel; (c) new or revamped information systems; (d) rapid growth; (e) new technology; (f) new business models, products, activities; (g) corporate restructurings; (h) expanded foreign operations (forex); (i) new accounting pronouncements.

Examiner's twist: a story lists "new ERP, two new foreign markets, new finance staff, smart appliances, rapid growth, policy changes" and asks for circumstances giving risk → map each to the SM label (c, h, b, e/f, d, i) with one line on IC effect. An MCQ on "edit checks and access authorisation" is information processing (Sep 2025 key D), not physical controls.

Internal check

Asked: Jan 2026 Q2(b)

→ Arrangement of book-keeping and staff duties so that **no one person can carry through a transaction and record every aspect**; built-in device; work of each proved independently or complementary.

List	Items	Trigger words
Objectives of internal check (6)	Detect errors and frauds with ease; avoid and minimise commission; increase efficiency of staff; locate responsibility area; protect integrity by proper scrutiny; prevent misappropriation of cash and falsification	"objectives of internal check"
Effectiveness depends on (4)	Clarity of responsibility; division of work (with rotation); standardisation; appraisal (periodic review, audit flow chart)	"considerations for efficient system"
General conditions (10)	(i) no single person complete control, every action reviewed; (ii) rotation of duties; (iii) leave at least once a year; (iv) custody of assets ≠ access to books; (v) accounting control per class of assets plus periodical inspection; (vi) mechanical devices for cash; (vii) budgetary control, deviations reconciled; (viii) year-end inventory taking: trading suspended if possible, staff from several sections; (ix) powers distributed judiciously and reviewed; (x) periodical verification of accounting records	"violations", "principles of adequate internal check", "purchase head sanctions payments", "storekeeper keeps records"

- → **Segregation (structure):** authorisation; execution; custody; recording. Rotation: fraud not undetected for long; no vested interest; work kept up to date; employee careful.
- → **Evaluation SM points:** SOPs; enterprise risk management; segregation (buyer not involved in receiving or passing bills; BRS by someone other than bank book keeper); job rotation in sensitive areas; delegation of financial powers document; IT-based controls.
- → Effect on risk (Jan 2026 ask): violations weaken control environment and control activities → **control risk high**; promoter's relative, long tenure, no records = conditions for fraud and error → **inherent risk** of misstatement in purchases, payables, inventory rises; combined → RMM high → lower acceptable DR, more substantive work.

Review and evaluation of IC — ICQ, checklist, flow chart

- → Design first, then implementation (exists and used). Improper design may be a material weakness or significant deficiency. Manual elements suit large/unusual/non-recurring transactions, hard-to-predict errors, changing circumstances, monitoring automated controls.
- → Review enables auditor to (i) decide reliance on the system; (ii) locate weak areas to adjust NTE of substantive and compliance procedures (wider debtor confirmation; surprise cash count **after** routine verification).
- → Continuing client: review changes; comprehensive review at interval of, say, **3 years**. ICQ necessary in first year; good practice to re-issue every **third year** even without change. Preliminary evaluation assumes controls operate as described.

Point	Internal control questionnaire	Check list	Flow chart
Nature	Large number of detailed questions per area; "No" usually = weakness	Instructions/questions on main control objectives; reminder to auditor; auditor initials	Graphic, horizontal flow of documents and activities across sections; bird's eye view
Answered by	Company executives (in practice filled in meetings, executive initials)	Auditor/audit staff	Drawn by auditor after review
Weakness signal	"No" shows weakness but not its significance	Specific statement where weakness may be material	Gaps visible (unnumbered salesmen advices, no credit sanction, no pricing check)

Reporting IC weaknesses; SA 265

Asked: Sep 2025 Q6(a); Jan 2026 MCQ CS-I Q6

- → **Material weakness** (SM): absence of adequate controls on flow of transactions increasing possibility of errors and frauds. Communicate to management/audit committee timely, preferably in writing (**letter of weakness / management letter**): lists weaknesses and suggestions; states only weaknesses noticed in audit, examination not designed to determine adequacy of IC; reference document; may minimise legal liability (Re S.P. Catterson & Ltd.). Letter does **not** absolve the duty to qualify.
- → **Deficiency** (TYU 5 ans): control unable to prevent or detect and correct timely, or necessary control missing. Significance depends on **likelihood and potential magnitude**, not on actual misstatement; susceptibility of asset to loss is a factor (uninsured assets).
- → SA 265 adds no responsibility beyond SA 315/330 for understanding IC or testing controls.

To whom	What	Form
TCWG	Significant deficiencies, timely	**In writing**: description and potential effects; context — (i) purpose was opinion on FS; (ii) IC considered to design procedures, **not to opine on IC effectiveness**; (iii) limited to deficiencies identified and of sufficient importance
Management (appropriate level)	(a) significant deficiencies communicated/to be communicated to TCWG — unless inappropriate to tell management directly; (b) other deficiencies not communicated by others and of sufficient importance	(a) in writing; (b) as per SM, of sufficient importance to merit attention

SA 330 — responses

→ Overall responses at FS level; further procedures at assertion level responsive to risk — consider reasons (IR, CR) and obtain **more persuasive evidence the higher the risk**.

→ **Tests of controls when:** auditor expects controls to operate effectively (intends to rely); or substantive procedures alone cannot provide sufficient evidence. More reliance → more persuasive evidence.

→ **Irrespective of risk:** substantive procedures for each **material** class, balance, disclosure.

Examiner's twist: "Auditor's responsibility on internal control" MCQ (Jan 2026) mixes ICFR reporting, significant deficiencies to TCWG and a CARO clause — the CARO option is the odd one. In descriptive, the story is about a fraud loss; ask is "what should the auditor communicate and how" → SA 265 writing + three context statements; mention letter of weakness does not replace qualification.

Frameworks (one line each)

→ Indian benchmark: Appendix 1 of SA 315 (IFC over FR). **COSO** 1992 — 5 components, 17 principles, objectives: operations, reporting, compliance. **CoCo** (CICA) — 20 criteria: purpose, commitment, capability, monitoring and learning. **COBIT** (ISACA) — 34 processes, 210 control objectives, 4 domains. **Turnbull** — directors review IC at least annually. **SOX 404** — auditor gives two opinions: ICFR and FS.

SA 299 — Joint audit

SA 299 — joint audit

Asked: Sep 2025 MCQ; MTP Jan 2026 S-11 3(a)

- → Joint audit = audit of FS of an entity by **two or more auditors appointed with the objective of issuing the audit report**. Section 139(3): members may resolve that the audit be conducted by more than one auditor. SA 299 does **not** deal with principal auditor vs auditor of a component.
- → Objectives (4): broad principles; uniform approach; identify distinct areas of work and coverage; identify individual and joint responsibility.
- → **Planning**: EP and key members of **each** joint auditor involved; overall audit strategy established **jointly**. Before commencement, a **joint audit plan**: (a) division of audit areas and common areas; (b) reporting objectives, timing, communications; (c) significant factors directing team efforts; (d) results of preliminary engagement activities and relevant earlier knowledge; (e) NTE of resources.
- → Division usually by identifiable units or specified areas; if not possible, by items of assets, liabilities, income or expenditure; some important areas not divided and covered by all.
- → RoMM assessed by each joint auditor, **communicated** to others and **documented**. NTE for common and allotted areas discussed, documented and **communicated to TCWG**.
- → **Common engagement letter and common management representation letter. Work allocation document signed by all joint auditors and communicated to TCWG** (avoids disputes among joint auditors and with the entity).

Individual responsibility of each joint auditor	Joint and several responsibility of all
Work allocated to him, **including proper execution** of procedures · obtaining and evaluating information and explanations for allotted divisions/zones/units · NTE of procedures for allotted areas · study and evaluation of internal control and risk assessment for allotted areas · **execution** of procedures in common areas assigned to him (TYK 5: DES & Associates' batch-processing tests)	(a) work not divided and carried out by all; (b) planning decisions on NTE in common areas — only the **appropriateness of the decisions**; (c) matters brought to notice by any one and **agreed** by all; (d) examining that FS comply with relevant statutes; (e) presentation and disclosure as per the framework; (f) audit report complies with statutes, SAs and ICAI pronouncements
Trigger words: "performed by X's team", "zone allotted to X" → individual; "decided jointly", "not divided", "Schedule III disclosure", "report wording" → joint and several. Obtaining information and explanations from management is shared by all unless a specific pattern is agreed.	

- → A matter relevant to another joint auditor's area → communicate to **all** other joint auditors **in writing prior to completion** of the audit.
- → **Reporting**: common report; disagreement → **separate report**; not bound by majority; each report refers to the other under **"Other Matter Paragraph" (SA 706)**. Division/branch audited by one → others may proceed on the basis that its FS comply and give a true and fair view. Discuss conclusions with each other before finalising.
- → Each may **assume**: (a) the others performed their part in accordance with SAs — no need to review their work or test it; (b) the others brought to notice any departure from the framework or significant observations.
- → **TCWG**: expected modification → circumstances and proposed wording (SA 705); expected EOM/OMP → expectation and proposed wording (SA 706).

Examiner's twist: MTP Jan 2026 / TYK 10 (Tree Ltd / Studio Ltd): understatement of receivables, valuation looked after by one firm, **no documentation of division**. Two points score: that firm is responsible for allotted work including execution, **and** SA 299 is violated because the allocation was not documented, signed and communicated to TCWG. 2-1 disagreement on an adverse opinion (TYK Q1): the minority auditor issues a separate report; reference by OMP, not EOM.

SA 300 — Planning

SA 300 — Planning: benefits, nature, continuous, responsibility

- → **Benefits (6):** attention to important areas; timely resolution of potential problems; proper organisation and management of the engagement; proper selection of engagement team; direction and supervision of the team; easy coordination with auditors of components and experts.
- → **Nature of planning varies with:** size and complexity of auditee; past experience and expertise of key team members; change in circumstances.
- → **Continuous process:** not a discrete phase; begins shortly after the previous audit and continues until completion of the current one. Includes: analytical procedures as risk assessment procedures, general understanding of legal and regulatory framework, determination of materiality, involvement of experts, other risk assessment procedures.
- → **Responsibility:** elements may be discussed with management (to coordinate procedures), but **overall audit strategy and audit plan remain the auditor's responsibility**. Discussing nature and timing of detailed procedures may make them **too predictable**. Engagement partner and other key members should be involved in planning.
- → **Preliminary activities at the beginning:** (i) SA 220 procedures on continuance of client relationship; (ii) evaluating compliance with ethical requirements incl. independence; (iii) understanding of terms of engagement under SA 210.
- → **Contents of audit plan (3):** NTE of planned **risk assessment procedures** (SA 315); NTE of planned **further audit procedures at assertion level** (SA 330); other planned procedures required by SAs. Extent includes **sample sizes** (TYU 2 — deciding sample size later is not proper).
- → **Changes:** update strategy and plan due to (i) unexpected events, (ii) changes in conditions, (iii) audit evidence obtained — e.g. substantive evidence contradicting tests of controls; also change in law, notifications, government policies.

Overall audit strategy — factors, benefits, considerations, documentation

- → Strategy **sets the scope, timing and direction** of the audit and guides the audit plan.
- → **Documentation (3):** overall audit strategy; audit plan; **significant changes** during the engagement **and the reasons** (TYU 3 — NGO/FCRA: extended procedures must be documented with reasons).
- → **Relationship:** strategy is prepared **before** the plan; plan is more detailed; change in one changes the other (CA Sam: lowered materiality → first modify strategy, then plan). Audit programme divergence: first modify the overall plan, then the programme.

List	Items (SM)	Trigger words in question → which one
2.1 Factors while establishing strategy (5)	Characteristics that define scope; reporting objectives (timing, communications); factors significant in directing team's efforts; results of preliminary engagement activities and knowledge from other engagements; nature, timing, extent of resources.	"factors to be considered in establishing / formulating overall audit strategy"
2.2 Benefits — strategy helps determine (4)	Qualitative resources (experienced members for high-risk areas, experts on complex matters); quantity of resources (team at inventory count, budget hours); timing of deployment (interim / cut-off); management of resources (briefings, reviews, EQCR).	"what matters does the strategy assist the auditor to determine", "allocation of resources"
2.3 Considerations — 4 heads	(a) Characteristics of engagement (FRF, industry reporting, components, service organisations, IT effect, client personnel); (b) Reporting objectives, timing, communications; (c) Significant factors, preliminary activities, knowledge gained (materiality, higher-risk areas, skepticism, previous deficiencies, business developments); (d) NTE of resources (team selection, budgeting).	"examples of matters to consider", "new venture / online shopping added" (TYK 4 adds information system understanding)
Audit plan contents (3)	Risk assessment procedures (SA 315); further procedures at assertion level (SA 330); other SA-required procedures.	"what shall the audit plan include", "sample size"
Audit programme — matters (6)	Nature of business; overall plan; internal control and accounting procedures; size and management structure; information on organisation; accounting and management policies.	"instructions to assistants", "formulating audit programme"

Examiner's twist: a story about a fintech/new venture asks "is involving an IT expert a factor in the strategy?" — Yes: 2.2(i) qualitative resources (experts on complex matters); responsibility not shared (SA 620). The one line that scores: "strategy sets scope, timing and direction; plan sets nature, timing and extent."

Audit programme — first audit in three stages; when to alter

- → First engagement: (i) broad outline; (ii) details filled after reviewing internal and accounting procedures, considering IC deficiencies; (iii) after detailed checking, decide extent of special (first-time/opening balance) procedures — debtors/creditors confirmation, physical inspection of fixed assets and stock.
- → Review at each subsequent engagement for: experience of previous audits; important changes (IC, procedures, management, scope); current year IC evaluation.
- → Alter when: turnover substantially increased or accounting organisation/personnel changed; IC not as effective as assumed; extraordinary increase in book debts or stocks; suspicion of misappropriation.

SA 402 — Service organisations

SA 402 — service organisations

Asked: May 2025 Q6(a); May 2026 MCQ

→ Expands how the user auditor applies **SA 315 and SA 330**. Definitions: **service organisation** (third party or segment providing services that are part of user entities' information systems relevant to financial reporting); **user entity**; **service auditor** (reports on SO's controls at the request of the SO); **user auditor**.

→ Relevant when services and controls are part of the user entity's information system — they affect: (a) significant classes of transactions; (b) procedures by which transactions are initiated, recorded, processed, corrected, transferred to GL, reported; (c) related accounting records; (d) how events and conditions other than transactions are captured; (e) financial reporting process including significant estimates and disclosures; (f) controls over journal entries including non-standard ones. Controls over safeguarding of assets may also be relevant.

→ Objectives: (a) understand nature and significance of services and effect on internal control, sufficient to identify and assess RoMM; (b) design and perform responsive procedures.

Point	Type 1 report	Type 2 report
Management's description covers	System, control objectives and related controls **designed and implemented as at a specified date**	Design and implementation **as at a date or throughout a period** and, in some cases, **operating effectiveness throughout a specified period**
Service auditor's opinion on	Description; **suitability of design**	Description; suitability of design; **operating effectiveness**
Extra content	—	**Description of service auditor's tests of controls and results**
Assurance	Reasonable	Reasonable
Use	Understanding of design and implementation only	Understanding **and** evidence that controls operate effectively
Trigger words	"as at 31 December", "design", "understanding"	"throughout the period", "operating effectively", "tests performed by service auditor" (TYK 12 Happy Hospital → Type 2)

The four look-alike procedure lists in SA 402

Situation	SM list	Trigger words
Understanding how the user entity uses the SO (SA 315)	(a) nature of services and significance, incl. effect on IC (sources: user manuals, contract, service auditor reports); (b) nature and materiality of transactions/accounts affected (immaterial amounts may still be significant by nature); (c) **degree of interaction** (e.g. user authorises, SO processes and accounts → high); (d) nature of relationship incl. contractual terms. Also evaluate D&I of user entity's controls over the services; decide if understanding is sufficient	"what understanding should the auditor obtain" (TYK 8, 11)
Understanding cannot be obtained from the user entity	(a) obtain Type 1 or Type 2 report; (b) contact the SO **through the user entity**; (c) visit the SO and perform procedures; (d) use another auditor	"user entity cannot explain the SO's controls"
Using Type 1/Type 2 report for **understanding of design and implementation**	Be satisfied as to (a) service auditor's **competence (except where ICAI member)** and **independence** from SO; (b) adequacy of standards. Then: (a) description and design at a date/period appropriate; (b) sufficiency and appropriateness of evidence for understanding IC; (c) relevance of **complementary user entity controls** and whether the user entity has designed and implemented them	May 2025 Q6(a) "sufficiency and appropriateness … procedures if Type 1 or Type 2 used"
Evidence of **operating effectiveness** expected	Tests of controls: (a) obtain Type 2 report; (b) tests of controls at SO; (c) another auditor tests on user auditor's behalf. Using Type 2: (a) description, design and OE at an appropriate date/period; (b) CUECs relevant → understand D&I **and test OE**; (c) adequacy of period covered and **time elapsed** since tests; (d) relevance of service auditor's tests and results to assertions	"risk assessment expects controls at SO to operate effectively"

- → **Complementary user entity controls**: controls the SO assumes in its design will be implemented by user entities, identified in its system description.
- → **Responding (SA 330)**: (a) is SAAE available from records at the user entity; if not, (b) further procedures or another auditor at the SO.
- → **Fraud / NOCLAR / uncorrected misstatements** at the SO: inquire of user entity management whether the SO reported, or management is aware of, any; evaluate effect on procedures, conclusions and report.
- → **Reporting**: unable to obtain SAAE on the services → **modify** under SA 705. **No reference** to the service auditor's work in an **unmodified** report unless required by law or regulation; if required, state that it **does not diminish** the user auditor's responsibility. Reference relevant to understanding a modification → state that it does not diminish responsibility.

Examiner's twist: The case gives a big percentage (payroll 63% or 75% of costs), a Type 2 report, even a sub-service organisation and "carve-out method", and then asks only whether the reviewer is right to **delete the reference** to the service auditor in an unmodified report (TYK 13, May 2026 MCQ). Answer: yes — no reference in an unmodified report unless law or regulation requires it. Do not drift into sub-service organisation methods; the SM does not develop them.

SA 450 — Evaluating misstatements

SA 450 — Evaluation of Misstatements

Asked: Jan 2026 Q1(b)

- **Misstatement:** difference in amount, classification, presentation or disclosure from FRF; from error or fraud. **Uncorrected misstatements:** accumulated and not corrected.
- **Accumulate** all except **clearly trivial**. Clearly trivial ≠ "not material" — wholly different (smaller) order; inconsequential by size, nature or circumstances. Any uncertainty → **not** clearly trivial.
- **Revise strategy/plan if:** nature/circumstances indicate other misstatements may exist which with accumulated ones could be material; or aggregate **approaches materiality** (SA 320). Management corrected a class at auditor's request → additional procedures to see whether misstatements remain.
- **Communicate** all accumulated misstatements timely to appropriate level of management (unless prohibited) and request correction. Refusal → understand reasons and consider them in evaluating FS as a whole.
- **Before evaluating uncorrected misstatements: reassess SA 320 materiality** in light of actual results. Then decide whether material individually or in aggregate considering (a) size and nature, particular circumstances; (b) effect of prior-period uncorrected misstatements.
- **TCWG (SA 260):** uncorrected misstatements and effect on opinion; **material ones identified individually**; request correction; effect of prior-period ones.
- **Written representation:** effects of uncorrected misstatements immaterial individually and in aggregate; **summary included in or attached**.
- **Documentation (3):** clearly-trivial amount; all accumulated misstatements and whether corrected; conclusion on materiality of uncorrected and basis.

Type	Meaning (SM)	Trigger words
Factual	No doubt about it	"invoice recorded twice", "arithmetical error"
Judgmental	Management's estimates the auditor considers unreasonable, or policies inappropriate	"provision too low in auditor's view", "policy not suitable"
Projected	Auditor's best estimate of misstatement in a population, projecting sample errors	"error in sample of 60 invoices extrapolated"

Point	SA 320 materiality (Ch 4 TYK 1, 13, 14)	SA 450 evaluation	Trigger words
When	Planning and performing; set when establishing strategy; **revise** on becoming aware of information that would have caused a different amount initially	Throughout and at completion — evaluating effect of identified and uncorrected misstatements	"benchmark", "percentage", "estimated sales" → SA 320
Lower revised amount	Determine whether to revise **performance materiality** and whether NTE of further procedures remain appropriate	Reassess SA 320 materiality **before** evaluating uncorrected misstatements	"actual results differ from estimate used"
Specific levels	Lower materiality for particular classes/balances/disclosures if lesser misstatements could influence users (Deepti & Co. — imported machinery, forex)	Size **and nature** of each misstatement considered	"particular transaction", "sensitive disclosure"
Benchmark factors	Elements of FS; items users focus on; nature, life-cycle, industry; ownership and financing; volatility of benchmark. PBT % normally higher than revenue %. Regular profits → PBT; losses → revenue or gross profit; public utility → total/net cost; custody of assets → assets.	—	"loss-making", "financed by debt"

SA 450 — Evaluating misstatements

Examiner's twist: *MINI Builders type — materiality was set on 11 months extrapolated sales; last month only 30% of estimate. Ask is "how to evaluate uncorrected misstatements" → first reassess materiality (SA 450 + SA 320), then performance materiality and NTE. Students who list SA 450 communication alone lose the main mark.*

SA 500–550 — Audit evidence

Selective examination vs audit sampling (opening case)

Point	Selecting specific items	Audit sampling (SA 530)
What	Items above a threshold (₹25 lakh), suspicious items, all RPTs, litigation	Less than 100% of items such that all sampling units have a chance of selection
Projection	Results **cannot be projected**; no evidence on remainder	Misstatements in tests of details are projected to population
Risk	**Non-sampling risk** — inappropriate procedures, misinterpretation, failure to recognise misstatement	**Sampling risk** — conclusion differs from what 100% testing would give

SA 500 — Audit Evidence

Asked: May 2026 Q4(a)

- → Evidence includes accounting records and other information; obtained by risk assessment procedures and further procedures (tests of controls, substantive procedures).
- → **Relevance** (logical connection with purpose/assertion; affected by direction of testing) and **reliability** (source, nature, circumstances, controls). Generalisations have exceptions — even external evidence may be unreliable.
- → Information produced by entity → evaluate reliability, completeness, accuracy. Inconsistency or doubt → modify/add procedures and consider effect on other aspects.
- → **Management's expert:** to extent necessary, having regard to significance — (a) evaluate competence, capabilities, objectivity; (b) understand the work; (c) evaluate appropriateness as evidence for the assertion — findings (consistency, reflected in FS), significant assumptions and methods, significant source data. Sources of info on expert: prior experience, discussions, qualifications, published papers.
- → Threats: self-interest, advocacy, familiarity, self-review, intimidation. Intimidation threat may be less for an engaged expert than an employed one. **Employee-expert cannot ordinarily be regarded as more objective than other employees.** Engaged expert: discuss interests (financial, business/personal, other services) and safeguards.
- → MCQ (SM): objectivity likely lesser if expert is **employed by the entity**. BBNS: actuary assumed 65 retirement age while only a proposal exists → assumption inappropriate → auditor may qualify.

Examiner's twist: CTO with 20 years' service, profit-linked incentives, no market benchmarks, team lacks engineering skill (May 2026). Ask is "rely on CTO?" → SA 500 objectivity threat (employee + incentive) → cannot rely without more; consider auditor's expert (SA 620), SA 540 significant-risk evaluation, range; if unresolved, SA 705.

SA 501 — Inventory, litigation, segment

Asked: Jan 2026 MCQ CS-1 Q2; May 2026 Q1(a); RTP Jan 2026 Q11

- **Objectives:** existence and condition of inventory; **completeness** of litigation and claims; presentation and disclosure of segment information.
- **Inventory material** → attendance at count unless impracticable: (i) evaluate management's instructions and procedures; (ii) observe count procedures; (iii) inspect inventory; (iv) test counts; plus procedures over final inventory records.
- Count at a date other than FS date → procedures on changes between count date and FS date.
- **Third-party custody** (material) → confirmation of quantities and condition, and/or inspection or other procedures. Doubt on third party's integrity (DGGI raid) → other procedures instead of or in addition: attend/arrange another auditor to attend count; another auditor's or service auditor's report on third party's IC; inspect documents (challans, e-way bills).
- Count instructions to correct (SM TYK 6 / RTP): supervisor from finance, not storage in-charge; no movement during count; counters independent of storage, separate counting and recording, serially numbered count sheets, tags; layout plans; quantities by measurement (gauges), not capacity; WIP stage-wise, not plant capacity; damaged/obsolete segregated; sheets signed.

Situation	SA 501 response	Trigger words
Unable to attend due to **unforeseen circumstances**	Make or observe some physical counts on an **alternative date** and perform procedures on **intervening transactions**	"road blocked for a month", "flight cancelled", "agitation" (TYU 2)
Attendance **impracticable**	Alternative procedures (e.g. inspect documentation of subsequent sale of items bought before count); if not possible → **modify opinion** (SA 705, scope limitation)	"location poses threat to safety", "nature and location" — **not** general inconvenience, difficulty, time or cost
Count not observed, balance **immaterial**, alternatives done	No modification (Jan 2026 MCQ key D)	"immaterial", "alternative procedures satisfactory"
Third-party custody	Confirm and/or inspect; integrity doubt → attend, other auditor's report, documents	"job worker", "consignee", "finishing works"

- **Litigation — identify by:** inquiry of management and others incl. in-house legal counsel; minutes of TCWG and correspondence with external counsel; **legal expense account**. Not by inquiry of the opposite party (SM MCQ: inquiry of Mr. X is not a procedure).
- RMM on litigation or procedures indicate material litigation → seek **direct communication with external legal counsel** through a **letter of inquiry prepared by management and sent by the auditor** (TYU 3 — auditor's own letterhead letter is not proper). Letter of specific inquiry: list of litigation; management's assessment and estimate; request to confirm reasonableness and add if list incomplete. Meeting may be sought if significant risk, complex or disagreement.
- Counsel refuses / management refuses permission and no alternative evidence → **modify opinion (SA 705)** (SM integrated case MCQ 2 — key (a), not disclaimer by default, not withdrawal).
- **Written representation:** all known actual or possible litigation and claims disclosed and accounted for — representation alone is not sufficient (May 2026 Q1(a) with SA 580).
- **Segment:** understand methods used by management and perform analytical procedures. Matters: inter-segment sales, transfers, charges and eliminations; comparisons with budgets (operating profit % of sales); allocation of assets and costs; consistency with prior periods and disclosure of inconsistencies.

SA 505 — External Confirmations

Asked: Sep 2025 Q5(b); RTP May 2025 Q10; MTP Jan 2026 2(a)

→ **Procedure:** determine information to confirm; select appropriate confirming party; design requests; send requests incl. follow-ups.

→ **Management refuses** to allow a request: (1) inquire reasons, seek evidence on **validity and reasonableness**; (2) evaluate implications on RMM incl. fraud and on NTE of other procedures; (3) alternative procedures. Refusal **unreasonable** → communicate with **TCWG** and consider implications on the audit and the auditor's opinion. First response = (1) (SM integrated case MCQ 3, key (d)).

→ "Request may be used as proof of liability" (MTP Jan 2026) — test validity of that reason; unilateral write-back of liabilities to other income is itself a risk area.

Point	Positive confirmation	Negative confirmation	Trigger words
Response sought	Confirming party replies directly to the auditor whether it agrees or disagrees (contrast with SM definition of negative; wording as in RTP May 2025 Q10)	Replies **only if it disagrees** (SM)	"respond only if there is a disagreement" → negative
Persuasiveness	More persuasive	Less persuasive; non-response does not show receipt or accuracy; parties more likely to respond when information is not in their favour	
Use as sole substantive procedure	—	Only when all: RMM low and relevant controls effective; large number of small, homogeneous items; **very low exception rate** expected; no known circumstance making recipients disregard	"1,800 small dealer balances", "one old ₹20 lakh balance" (Star Ltd — not suitable for that item)
No reply	Non-response → **alternative procedures**; where positive response is **necessary** and not received → determine implications on audit and opinion	No reply is not evidence of misstatement; examine subsequent payments, correspondence, GRNs	"creditor did not respond"

Result	What the auditor shall do
Doubt on reliability (received indirectly, appears not from intended party, GST registrations cancelled)	Obtain further audit evidence; if unreliable → evaluate implications on RMM incl. **fraud** and NTE of other procedures. All responses carry risk of interception, alteration, fraud — paper or electronic.
Exception (debtor says ₹14.90 lakh vs ₹15.50 lakh)	**Investigate** to determine whether indicative of misstatement (may be timing, in-transit, disputed) — not automatically a misstatement.
Non-response	Alternative audit procedures.

Examiner's twist: SM MCQ — confirmation "signed by the plant manager" is unreliable (not the appropriate confirming party). Sep 2025: responses collected by the company's staff and handed over → received indirectly → doubt on reliability → further evidence and fraud-risk evaluation; not "accept since signed".

SA 510 — Initial Audit Engagements: Opening Balances

- → **Initial engagement:** prior period FS not audited, or audited by predecessor.
- → **Objectives:** whether opening balances contain misstatements materially affecting current FS; whether accounting policies consistently applied and changes properly accounted, presented, disclosed.
- → **Procedures:** read most recent FS and predecessor's report; prior closing balances correctly brought forward; opening balances reflect appropriate policies; perform procedures on opening balances; misstatement found → communicate with management/TCWG.
- → **Inventory:** current closing-stock work gives little evidence on opening — observe current count and reconcile back; procedures on valuation of opening items; gross profit and cut-off (TYU 6 — prior year unaudited).
- → SM MCQ: "ascertaining whether predecessor attended the count" is **not** an SA 510 procedure.

Conclusion	Opinion
Unable to obtain evidence on opening balances	Qualified / disclaimer
Opening balances misstated, not properly accounted/presented/disclosed	Qualified / adverse
Policies not consistently applied or change not properly accounted	Qualified / adverse
Predecessor's modification relevant and material to current period	Modify current report

SA 530 — Audit Sampling

- → **Objective:** reasonable basis to draw conclusions about the population.
- → Design: purpose of procedure and characteristics of population; sample size reduces sampling risk to acceptably low level; each unit has a chance of selection.
- → Procedure not applicable to an item → **replacement item**. Unable to apply designed procedure → treat as **deviation** (tests of controls) or **misstatement** (tests of details).
- → Investigate nature and cause; anomaly → procedures for **high degree of certainty** it is not representative; project misstatements (tests of details); evaluate results and whether sampling gave reasonable basis. If not: request management to investigate and adjust; or tailor NTE (extend sample, test alternative control, modify substantive procedures).
- → TYU 7: erroneous conclusion that controls are less effective / that misstatement exists → affects **efficiency** (additional work).

SA 550 — Related Parties

Asked: Jan 2026 MCQ CS-1 Q3

- → Expands SA 315, SA 330, SA 240 for RPs. **Objectives:** understand RPTs to recognise fraud risk factors and conclude whether FS achieve true and fair presentation / are not misleading; evidence that RPTs are properly identified, accounted, disclosed.
- → **Requirements:** risk assessment; understanding relationships and transactions; alertness when reviewing records; **share RP information with the team**; assess RMM; respond.
- → Team discussion: independent identification (MBP-1, MCA data); skepticism; SPEs, complex structures, off-balance sheet; management override.
- → **Written representation:** all RPs and RPTs disclosed to auditor; properly accounted and disclosed. **TCWG:** significant matters on RPs. **Documentation:** names of RPs and nature of RPTs.

Situation	Auditor shall	Trigger words
Previously unidentified / undisclosed RP or RPT	Determine whether circumstances confirm existence; promptly communicate to team (reassess RMM); request management to identify all transactions with new RP; inquire why controls failed; substantive procedures; reconsider other undisclosed RPs; ***intentional*** non-disclosure → SA 240, re-evaluate reliability of management's responses and representations	"agency paid ₹20 crore, promoter infuses ₹5 crore", "director's relative's firm", "loan not disclosed"
Significant RPT outside normal course of business	Inspect contracts: ***business rationale*** (or lack), terms consistent with management's explanations, properly accounted and disclosed; evidence of authorisation and approval	"sold blanket machinery to a floor-covering company" (TYU 8 — no rationale; may be fraud risk factor even at market price)

→ ***Fraud risk factors*** (Case Study 2): incentive/pressure (financial difficulty, lifestyle, equity to fund); opportunity (foreign partner's dependence, SRA model, dominant MD → override). SM MCQ: "floating of a new SPV itself" is not a fraud risk factor; most important red flag = undisclosed RP relationships to siphon funds.

→ Likelihood of misappropriation established → reassess reliability of evidence; professional and legal reporting responsibilities; consider withdrawal where legally permitted; discuss reasons with management/TCWG.

Examiner's twist: Jan 2026 MCQ — RP loan not disclosed: first assess whether it causes a material misstatement and ask management to disclose; jumping to "adverse opinion" or "report to ROC" is the trap. In a descriptive, a "market rate" sale between group companies still needs business rationale from the RP's perspective.

SA 520 — Analytical procedures

SA 520 — Analytical Procedures

- → **Substantive AP (4):** *suitability for assertions (considering RMM and tests of details); reliability of data (source, comparability, nature and relevance, controls over preparation); develop a sufficiently precise expectation; determine acceptable difference without further investigation.*
- → **Near the end:** *shall perform AP to form an overall conclusion whether FS are consistent with understanding of entity; may reveal unrecognised RMM → revise assessment (SA 315).*
- → **Investigating differences:** *inquire of management and obtain evidence on responses; other procedures if no explanation or explanation inadequate.*

SA 540 — Accounting estimates

SA 540 — Accounting Estimates incl. Fair Value

Asked: Sep 2025 Q3(b); MTP Sep 2025 5(b)

- → **Low estimation uncertainty:** non-complex business; frequent routine estimates; observable data (published interest rates, exchange-traded prices); simple FV method; well-known model with observable inputs. **High:** outcome of litigation; FV of unlisted derivatives; entity-developed models or unobservable inputs; wage revision under negotiation.
- → Active market price quotations are ordinarily best evidence of FV — but uncertainty may exist if holding is significant to market or marketability restricted, or market illiquid.
- → **Degree of uncertainty varies with:** nature of estimate; extent of generally accepted method; subjectivity of assumptions.
- → **Management bias:** lack of neutrality; susceptibility increases with subjectivity; may be visible only in aggregate or over periods; intention to mislead = fraudulent. Auditor is **not responsible for predicting future conditions**. Difference between outcome and estimate is **not necessarily a misstatement**.
- → **Objective:** sufficient appropriate evidence whether estimates (recognised or disclosed) are **reasonable** and related disclosures **adequate**.
- → **Understanding (risk assessment):** FRF requirements; how management identifies need for estimates (inquire about changes — new transactions, changed terms, policy changes, regulatory changes, new conditions); **how management makes estimates** — (i) method/model, (ii) relevant controls, (iii) use of expert, (iv) assumptions, (v) change in method and why, (vi) how estimation uncertainty assessed.
- → **Review of prior period outcomes** (or re-estimation) — required; nature and extent depends on nature of estimates and relevance to current RMM; **not intended to call into question prior judgments** based on information then available. Gives: effectiveness of management's prior process; evidence for re-estimation; evidence on uncertainty to disclose; indicators of bias. Management refusal is not correct (TYK 7).
- → **Identify and assess:** evaluate degree of estimation uncertainty; decide whether high-uncertainty estimates give rise to **significant risk**.
- → **Responses (one or more):** events up to date of auditor's report; test data and how estimate was made (data accurate, complete, relevant; external data source; recalculate; internal consistency); test controls with substantive procedures; consider need for specialised skills.

For estimates with significant risk	Auditor shall evaluate / obtain evidence on
Estimation uncertainty (3)	(a) how management considered **alternative assumptions or outcomes** and why rejected; (b) whether **significant assumptions** are reasonable; (c) where relevant, management's **intent and ability** to carry out specific courses of action. Not adequately addressed → develop a **range** if necessary.
Recognition and measurement	Decision to recognise or not; selected measurement basis — per FRF.
Disclosure	Adequacy of disclosure of estimation uncertainty — may be inadequate even if FRF-compliant.
Documentation	Basis for conclusions on reasonableness and disclosure; indicators of possible management bias.

- → **Written representations:** management (and TCWG where appropriate) believe significant assumptions are reasonable.

Examiner's twist: *"management says auditor cannot look back at last year's estimates" (real estate/construction) → SA 540 requires the review; it does not question prior judgments. Or a warranty/ decommissioning provision cut by 15% on an internal report → significant risk: write the (a)(b)(c) trio + range + disclosure + representation; then SA 500 for the internal expert.*

SA SA 560, 570, 580 — Completion

SA 560 — Subsequent Events

Asked: May 2026 MCQ CS-1 Q4; May 2026 Q1(b)

- → **Definition:** events occurring between the **date of the FS** and the **date of the auditor's report**, and facts that become known to the auditor **after** the date of the auditor's report.
- → Two kinds: events giving evidence of conditions that **existed at the FS date** (adjust) and events giving evidence of conditions that **arose after** the FS date (disclose).
- → **Objectives (2):** (a) obtain SAAE that events between FS date and report date that require adjustment/disclosure are appropriately reflected; (b) respond appropriately to facts known after the report date that, had they been known at that date, may have caused the auditor to amend the report.
- → After the report date the auditor has **no obligation to perform any audit procedures** — but must respond if a fact becomes known.

Time period	Auditor's duty (SM)	If management amends	If management does NOT amend	Trigger words → this period
1. FS date → report date	Perform procedures to identify all such events (consider risk assessment for nature/extent); determine whether appropriately reflected; obtain **written representation** (SA 580) that all such events adjusted or disclosed.	—	Treat as misstatement → modify opinion (SA 705).	"audit nearing completion", "before signing", "substantive procedures finished"
2. Report date → FS issued	Discuss with management/TCWG; determine whether FS need amendment; inquire how management intends to address it.	Extend procedures; **new** report (not dated earlier than approval of amended FS) **or** amend report with an **additional date restricted to the amendment**; EOM/OM para in new report.	Report not yet given to management → **modify opinion**. Report already given → **notify TCWG not to issue FS to third parties**; if still issued → take appropriate action to **prevent reliance** on the report.	"report signed on...", "AGM due", "not yet filed / not made available to third parties"
3. After FS issued	Discuss; determine whether amendment needed; inquire how management intends to address.	Review steps taken to inform **everyone who received** the previously issued FS + report; new/amended report with EOM/OM para.	If steps not taken → take appropriate steps to **prevent reliance** on the report.	"FS circulated / filed with regulator / AGM held"

SM case	Facts	Answer as per SM
TYK 1 (adjusting)	Claim receivable 1 crore at 31.3.2024; surveyor settles 45 lacs in April; received 15 May; report not yet issued.	Condition existed at FS date → **adjust** FS.
TYK 2 (non-adjusting)	Dividend proposed by Board on 17.4.2024.	No obligation at reporting date (Ind AS 1) → **no recognition, disclose** in notes; verify under SA 560.
Case Scenario 1	Fire on 27.6.2024 (after FS date, before report); management refuses disclosure; report 15.7.2024.	Fire → **disclosure** in notes; first report → **modified** opinion; new report on amended FS (approved 25.7.2024) dated **on or after 25.7.2024**, unmodified + EOM/OM.
TQ 4	Claim made 1 June 2024 for dyes in rugs shipped Aug 2023; out-of-court settlement 4 crore; FS silent.	Condition existed at FS date → **adjustment**; obtain WR; else report accordingly.
TQ 7 (Rare (P) Ltd)	Case filed after report; management will only footnote "contingent liability", relying on auditor's EOM.	Auditor's SA 560 steps correct; management's contention **invalid** — EOM is **not a substitute** for FS disclosures.

Examiner's twist: the story spends a page on the fire/flood/lawsuit and then asks "what is the **date** of the new report?" or "what does the auditor do **after** management refuses?". Fix the **timeline** first (FS date / report date / issue date). One line that scores: "New auditor's report shall not be dated earlier than the date of approval of the amended financial statements." The refusal-after-report-given answer is "notify TCWG not to issue to third parties … prevent reliance" — **not** "withdraw" and **not** "modify" (report already out).

SA 570 — Going Concern

Asked: May 2026 Q3(c); RTP May 2026 Q10; MTP Jan 2026 S-II 1(c)

- Going concern: entity viewed as continuing in operation for the foreseeable future, with **neither the intention nor the necessity of liquidation or of curtailing materially** the scale of operations.
- Risk assessment (SA 315 stage): consider whether events/conditions exist; consider whether management has made a **preliminary assessment**; discuss it and management's plans.
- Auditor cannot be expected to **guarantee** the entity's ability to continue; conclusions are based on evidence up to the report date — future events may still cause the entity to cease.
- Communicate with TCWG the events/conditions identified (whether they are a material uncertainty, adequacy of disclosures, implications for report). **Delay in approval** of FS linked to going concern → additional procedures + consider effect.

Look-alike	Management	Auditor (responsibility)	Auditor (additional procedures when events/conditions identified)
Items	1. Make a **specific assessment** of ability to continue as GC. 2. Make **appropriate disclosures**.	1. Obtain SAAE and **conclude** on appropriateness of use of GC basis. 2. Conclude whether a **material uncertainty** exists. (Not: guarantee.)	(a) Request management to make its assessment (if not done); (b) evaluate management's plans — likely to improve? feasible?; (c) cash flow forecast: **reliability of underlying data + adequate support for assumptions**; (d) consider additional facts since management's assessment; (e) **written representations** on plans and their feasibility.
Trigger words	"make assessment", "make disclosures"	"conclude", "assess whether MU exists"	"evaluate", "analyse forecast", "request", "consider additional facts"

- → Other SM procedures: analyse interim FS; read loan agreements for breach; read minutes for financing difficulties; inquire of legal counsel on litigation; confirm financial support arrangements and ability of parties; subsequent-events procedures for mitigating factors; confirm existence/terms/adequacy of borrowing facilities.
- → Management plans evaluated may include: liquidate assets, borrow money or restructure debt, reduce or delay expenditures, increase capital.
- → Indicators used in SM cases: adverse key ratios (current ratio, DSCR, inventory and receivables turnover); delay in paying creditors/salaries; bankers refusing credit; change from credit to **cash on delivery** with suppliers; arrears or discontinuance of dividends; loss of a **key customer/major market** (operating indicator); KMP leaving; no action plan. A new competitor opening nearby is **not** a financial indicator (SM MCQ).

Conclusion	Opinion	Where it goes in the report
GC basis used but **inappropriate**	**Adverse** — even if FS disclose the inappropriateness (TYK 4)	Basis for Adverse Opinion
Appropriate + MU + **adequate** disclosure	**Unmodified**	Separate section "**Material Uncertainty Related to Going Concern**": draw attention to the note; state MU exists and opinion not modified
Appropriate + MU + **inadequate** disclosure	**Qualified or adverse** (material vs pervasive)	Basis for Qualified/Adverse: MU exists and FS do not adequately disclose it
Management **unwilling** to make/extend assessment	Consider implications for the report	—
Appropriate, no MU	Unmodified	No special paragraph

Examiner's twist: long sad story (bird flu, floods, pandemic) and the ask is only "**with specific reference to cash flow forecast**" — answer the two forecast tests (reliability of data; support for assumptions) and apply each to the facts (no fresh bank credit, repayments start next year, longer supplier credit in a downturn, extra vet/vaccination costs, pollution claims). Second trap: "management itself discloses that GC is inappropriate" → still **adverse**. Third trap: MU adequately disclosed → write "unmodified opinion + MUGC section", never "EOM" or "qualified".

SA 580 — Written Representations

Asked: RTP May 2025 Q11

- → Written representation: written statement by management to confirm certain matters or support other evidence; does **not** include FS, assertions therein, or supporting books and records.
- → Necessary audit evidence but **not sufficient appropriate evidence on their own**; reliable WR does not change nature/extent of other evidence.
- → **Objectives (3):** (1) obtain WR that management/TCWG believe they have fulfilled responsibility for **preparation of FS** and **completeness of information** provided; (2) support other evidence on FS or specific assertions; (3) respond appropriately to WR provided (or not provided).
- → **Date:** as near as practicable to, but **not after**, the date of the auditor's report. Opinion cannot be expressed and report cannot be dated **before** the date of WR. Interim WR on a specific assertion → may need an **updated** WR.
- → **Period:** all FS and periods referred to in the report. Current management not in place earlier → still must cover the **whole** period (does not diminish their responsibility). May be a form that updates prior-period WRs.
- → **Doubt on reliability** (inconsistent with other evidence) → procedures to resolve; if unreliable → action under SA 705. **Not provided** → discuss, **re-evaluate integrity** of management, consider effect on report (SA 705).
- → Mandatorily from management — SM MCQ answer: **CFO** (not audit committee, CS or relationship managers). Not a "pillar": "WR provides sufficient appropriate evidence".

Specimen letter item (SM TYK 5)	Linked SA
Related party relationships/transactions accounted and disclosed; identity of related parties disclosed	SA 550
All subsequent events requiring adjustment/disclosure adjusted or disclosed	SA 560
Uncorrected misstatements immaterial; list attached	SA 450
Results of fraud risk assessment; fraud/suspected fraud involving management, key-control employees, others (material); allegations from employees, analysts, regulators	Fraud
Known/suspected non-compliance with laws	Laws and regulations
Access to all information; additional information requested; unrestricted access to persons; all transactions recorded	Completeness of information (SA 580 core)

Which date? (look-alike)	Rule as per SM	Trigger words
Auditor's report (SA 700)	No earlier than the date of SAAE, including evidence that all statements and notes are prepared and those with authority have asserted responsibility	"date of report", "Board approval"
New report on amended FS (SA 560)	Not earlier than date of approval of the amended FS	"fresh/new report", "amended accounts"
Written representations (SA 580)	As near as practicable to, but not after, report date	"representation letter dated..."

Examiner's twist: *management says "verbal confirmations were documented by your team" → WR is mandatory in writing. Letter dated 15 April, report dated 31 July → anomaly: subsequent events after 15 April not covered. Restated FS for 3 years, new management gives WR only for latest year → must cover all periods; refusal → re-evaluate integrity, SA 705.*

SA SA 600, 610, 620 — Using the work of others

SA 600 — Using the Work of Another Auditor (as in SM)

→ **Principal auditor** reports on entity's financial information that includes components audited by another auditor. **Component**: division, branch, subsidiary, JV, associate or other entity. SA 600 does **not** deal with **joint auditors** or **predecessor auditor**.

→ Principal remains responsible for his opinion; may rely on others if he exercises adequate skill and care and has no reason to believe he should not. **Independent statutory appointment** (e.g. branch auditors under Companies Act) → report should **expressly state the fact of such reliance**.

→ **Before acting as principal, consider:** materiality of portion he audits; knowledge of components' business; risk of material misstatement in components audited by others; additional procedures giving **significant participation**.

→ **Procedures:** other auditor not an ICAI member → consider **professional competence**; advise the other auditor of use of his work, coordinate at planning (special areas, inter-component transactions, time-table); advise significant accounting, auditing, reporting requirements and obtain **representation** on compliance; review written summary/questionnaire; consider significant findings; supplementary tests if needed.

→ **Documentation:** components audited by others, procedures and conclusions; how qualifications in other auditor's report were dealt with. Need not document reasons for limiting procedures where previously satisfied about other auditor's quality control.

→ **Reporting:** work cannot be used and no sufficient additional procedures → **qualified or disclaimer** (scope limitation). Other auditor's modified report → consider whether principal's report needs modification.

→ **Division of responsibility:** principal not responsible for work entrusted to others, **except** circumstances that should have aroused suspicion; report states extent of components audited by others (TYU 4 — 1,034 bank branches).

SA 610 — Using the Work of Internal Auditors

Asked: May 2026 MCQ CS-II Q8

→ External auditor has **sole responsibility**; not reduced by using IAF work or direct assistance. IAF/internal auditors are **not independent** of the entity. SA does not apply if there is no IAF.

→ **Can IAF work be used? Evaluate (3):** organisational status and policies supporting **objectivity**; level of **competence**; **systematic and disciplined approach incl. quality control**. If any fails → shall not use.

→ **Work that can be used:** testing operating effectiveness of controls; substantive procedures involving **limited judgment**; observation of inventory counts; tracing transactions through the information system; testing compliance with regulatory requirements; in some cases audits/reviews of non-significant subsidiaries.

→ **Use less, do more directly, the** more judgment involved; higher assessed RMM (esp. significant risks); less objectivity support; lower competence. Check that EA is still **sufficiently involved** in aggregate. Communicate planned use to TCWG (SA 260).

→ **Using IAF work:** discuss planned use; read IAF reports; perform procedures — work properly planned, performed, supervised, reviewed, documented; sufficient evidence for reasonable conclusions; conclusions appropriate and reports consistent with work.

Point	Using work of IAF	Direct assistance (internal auditors under EA's direction)	Trigger words
Meaning	Work already performed by the function, used as evidence	Internal auditors perform audit procedures under direction, supervision and review of EA	"assigned to EA's team", "work under our supervision" → direct assistance
Gate	Objectivity support + competence + systematic approach incl. QC	First: is it **prohibited by law**? (if so, consider extension to component auditors). Then evaluate threats to objectivity (incl. **inquiry of internal auditors** re interests/relationships) and competence	"family member in stores", "financial interest", "association with the department"
Shall not use if	Status/policies don't support objectivity; lacks competence; no systematic approach	Significant threats to objectivity; or lacks sufficient competence	
Not for	All significant judgments remain with EA	Significant judgments; higher assessed RMM where judgment more than limited; work reported to management/TCWG by IAF; decisions EA makes under SAs	"evaluate going concern", "decide sample/ materiality", "significant risk area"
Review	Perform procedures on adequacy of IAF work	Direct, supervise, review per SA 220; recognise lack of independence; **check back to underlying evidence** for some work	

Examiner's twist: *case says IA is "well-functioning" and counted inventory, but stock is slow-moving (TYU 5) — the ask is valuation (high judgment, significant risk) → EA performs directly. Or IA head is a non-tech-savvy retired banker appointed on recommendation (opening case) → competence and objectivity doubtful → don't use. Scoring line: "Responsibility not reduced; more judgment / higher risk → less use."*

SA 620 — Using the Work of an Auditor's Expert

Asked: Sep 2025 MCQ CS-III Q10; May 2026 MCQ CS-I Q5; May 2025 Q2(b)

- → ***Auditor's expert:*** *expertise in a field* ***other than accounting or auditing****, work used by the auditor; may be internal (partner/staff incl. temporary, of firm or network firm) or external.*
- → *SA 620 does* ***not*** *deal with: team member with expertise in a specialised area of accounting/auditing; use of a* ***management's expert*** *(dealt with in* ***SA 500****).*
- → ***Sole responsibility*** *not reduced; but if work is adequate, auditor may accept expert's findings as appropriate evidence.*
- → ***Need (5 stages):*** *understanding entity incl. IC; identifying and assessing RMM; overall responses at FS level; further audit procedures at assertion level; evaluating sufficiency and appropriateness of evidence. Auditor may instead gain understanding by experience, education/ professional development, discussion with auditors of similar engagements.*
- → ***Deciding whether to use:*** *management used an expert?; nature, significance, complexity; RMM; expected procedures and availability of alternative evidence.*
- → ***NTE of procedures — consider:*** *nature of matter; RMM; significance of expert's work; previous experience with that expert; whether subject to firm's QC.* ***More extensive*** *when: significant matter with subjective, complex judgments; not previously used / no prior knowledge; procedures* ***integral to the audit*** *rather than advice on an individual matter; external expert not subject to firm's QC.*
- → ***Competence, capabilities, objectivity:*** *for external expert include* ***inquiry about interests and relationships*** *(financial interests, business and personal relationships, other services); inquire of entity; discuss safeguards; written representation may be appropriate. Relevance of specialty (property-casualty actuary vs pensions).*
- → ***Understanding the field*** *enough to (a) determine nature, scope, objectives and (b) evaluate adequacy.*
- → ***Agreement — in writing when appropriate (4):*** *nature, scope, objectives; respective roles and responsibilities; nature, timing, extent of communication incl. form of report;* ***confidentiality****. Detailed written agreement needed where: access to sensitive data; highly complex matter; not previously used; greater extent and significance (TYK 8).*

Evaluate adequacy (3 tests)	What to check	Procedures / factors (SM)
(a) Findings or conclusions	*Relevance, reasonableness,* ***consistency with other audit evidence***	*Inquiry of expert; review working papers and reports; corroborative procedures (observe work, published data, third-party confirmation, detailed analytics, re-perform calculations); discuss with another expert; discuss report with management*
(b) Significant assumptions and methods	*Relevance and reasonableness in the circumstances*	*Generally accepted in the field; consistent with FRF; dependence on specialised models;* ***consistent with management's — if not, reasons and effects***
(c) Significant source data	*Relevance, completeness, accuracy*	*Verify origin of data incl. controls and transmission to expert; review for completeness and internal consistency*

- → ***Not adequate:*** *agree further work with expert, or perform further procedures; unresolved → **modified opinion (SA 705)**.*
- → ***Reference in report:*** *not in an* ***unmodified*** *report unless law/regulation requires (then state it does not reduce responsibility). May refer if relevant to understanding a* ***modification*** *— again state no reduction of responsibility.*

Point	Auditor's expert (SA 620)	Management's expert (SA 500)	Trigger words
Who uses the work	Auditor, to obtain evidence	Entity, to prepare FS	"company got valuation done", "CTO's report", "actuary's certificate accepted by company" → SA 500
Auditor's duty	Competence, capabilities, objectivity; understand field; agreement; evaluate adequacy	To extent necessary, having regard to significance: (a) evaluate competence, capabilities, objectivity; (b) understand the work; (c) evaluate appropriateness as evidence for the assertion	"evaluate appropriateness as audit evidence" → SA 500
Objectivity	Inquiry on interests/relationships; written representation possible	Employee expert: threat always present — **not ordinarily more objective than other employees**; engaged expert: discuss interests, safeguards	"incentives linked to profit", "re-appointed for 5 years"
Agreement	Required (in writing when appropriate)	Not an auditor's agreement	"no formal agreement with valuer" → SA 620

Examiner's twist: the story builds up a valuation dispute, then asks only "how should the auditor evaluate the assumptions and methods" — write the four factors under (b), not the whole SA. Another trap: a management-engaged expert ("independent") is still a management's expert — SA 500, not SA 620. If the auditor's expert played a significant role in preparing the information audited, he is a management's expert (objectivity threat).

SA 700–720 — Reporting

SA 700 series — which SA does what

SA	Purpose (SM)	Trigger words → this SA
700	Forming an opinion; form and content of report; **unmodified** opinion	"elements", "signature", "date", "clean report"
701	Enhance communicative value; greater transparency; matters of **most significance** in current-period audit	"listed", "significant auditor attention", "how addressed"
705	Modification of opinion: qualified/adverse/disclaimer	"material", "pervasive", "unable to obtain"
706	EOM (matter presented/disclosed, fundamental) and OMP (matter not presented/disclosed, relevant to audit/responsibilities/report)	"draw attention", "not modified in respect of"
710	Comparative information — corresponding figures vs comparative FS	"prior year qualification", "predecessor", "unaudited prior year"
720	Other information in annual report	"Directors' report", "Chairman's statement", "annual report"

SA 700 — Objectives and elements

- → **Objectives:** (a) form an opinion based on evaluation of conclusions from evidence; (b) express clearly that opinion through a **written** report. Applies to complete set of **general purpose** FS.
- → Opinion: whether FS prepared, in all material respects, per applicable FRF; obtain **reasonable assurance**. Fair presentation framework → also evaluate overall presentation, structure, content and whether FS represent underlying transactions in a manner that achieves fair presentation.
- → **Elements (14, SM order):** Title; Addressee; Opinion; Basis for Opinion; Going Concern; KAM; Other Information; Responsibilities for FS; Auditor's Responsibilities; Location of description of auditor's responsibilities; Other Reporting Responsibilities; Signature; Place; Date.
- → Title: "Independent Auditor's Report". Addressee: **Members** (general purpose statutory FS); **Board** (special purpose FS). Opinion section is the **first** section, heading "Opinion".
- → Fair presentation phrases (equivalent): "present fairly, in all material respects" or "give a true and fair view". Compliance framework: "prepared, in all material respects, in accordance with...".
- → Signature: engagement partner in personal name + firm name; membership number; FRN; **UDIN mandatory from 1 July 2019** (manual and digital, incl. certificates uploaded online). S.145 r/w s.141(2): only the person appointed / partner who is a CA may sign. Clause (12) Part I First Schedule CA Act: allowing a non-member or a member not being partner to sign = misconduct.
- → Place: ordinarily the **city** where signed.
- → Location of auditor's responsibilities: (a) within body; (b) appendix (report refers to it); (c) website of appropriate authority where law/regulation/standards expressly permit.
- → Other reporting responsibilities: separate section "**Report on Other Legal and Regulatory Requirements**", following "Report on the Audit of the Financial Statements".

Opinion section must…	Basis for Opinion must…	Auditor's Responsibilities section must…
(a) Identify entity; (b) state FS audited; (c) identify title of each statement; (d) refer to notes incl. significant accounting policies; (e) specify date/period of each statement	(a) Audit per SAs; (b) refer to auditor's responsibilities section; (c) independence statement referring to **ICAI Code of Ethics**; (d) whether evidence is sufficient and appropriate	Objectives (reasonable assurance; issue report); reasonable assurance = high level, not a guarantee; materiality description; professional judgment and scepticism; identify/assess RMM (fraud risk higher — collusion, forgery, intentional omissions, misrepresentations, override); understand IC **not to express opinion on IC** (omit phrase if IC opinion also given); evaluate policies/estimates/disclosures; conclude on GC; evaluate overall presentation; group audit division of responsibility (SA 600); communication with TCWG; independence statement to TCWG; KAM determination statement

→ **Report prescribed by law** — may refer to SAs only if it has at minimum 13 items (title; addressee; opinion + FRF; identification of FS; independence statement; SA 570 section; Basis for Qualified/Adverse per SA 570; SA 701 info; management responsibilities; reference to SAs and auditor's responsibilities; signature; place; date).

→ **Both SAs and ISAs**: refer to both only if (a) no conflict leading to a different opinion or omission of a required EOM/OM, and (b) minimum elements included; identify jurisdiction of origin.

→ **Supplementary information**: integral part → covered by opinion (e.g. reconciliation to another framework in notes). Not integral → must be clearly differentiated; if management refuses to change presentation → identify it and state it is **unaudited** (e.g. additional P&L schedule as appendix).

Examiner's twist: "significant deficiencies in internal control communicated to TCWG — where in the report?" → **Auditor's Responsibilities** section (SM TYK 1), not KAM, not Basis for Opinion. "Who signs?" → partner in personal name with firm name, M.No., FRN, UDIN.

SA 701 — Key Audit Matters

Asked: Sep 2025 MCQ CS-II Q8; MTP Jan 2026 S-I 4(b)

→ **KAM:** matters that, in auditor's professional judgment, were of **most significance** in the audit of FS of the **current period**; selected from matters **communicated with TCWG**.

→ **Applies to:** complete sets of general purpose FS of **listed entities**; when auditor otherwise **decides**; when **required by law/regulation**. SA 705 **prohibits** KAM when auditor **disclaims** an opinion, unless law/regulation requires.

→ **KAM is NOT**: (a) substitute for FS disclosures; (b) substitute for modified opinion (SA 705); (c) substitute for SA 570 MU reporting; (d) a separate opinion on individual matters.

→ Auditor shall **not** communicate in KAM section a matter for which opinion must be modified (SM answer TQ 16).

Stage	Step (SM)
Determine (step 1: filter)	From matters communicated with TCWG, those that required **significant auditor attention**, considering: (a) areas of **higher assessed RMM or significant risks** (SA 315); (b) significant auditor judgments on areas of significant management judgment incl. estimates with **high estimation uncertainty**; (c) effect on audit of **significant events or transactions** during the period. Then those of most significance = KAM.
Communicate (step 2: report)	Section "Key Audit Matters" with introductory language: (a) KAM are matters of most significance in current-period audit; (b) addressed in context of audit as a whole and forming opinion; **no separate opinion**. Describe each unless law precludes public disclosure, or in **extremely rare** cases adverse consequences reasonably expected to **outweigh public interest** benefits.
No KAM	Still carry the section: "[Except for the matter described in the Basis for Qualified (Adverse) Opinion section or MUGC section,] we have determined that there are no [other] key audit matters to communicate."

- → SM examples: impairment; provisions for losses and contingencies; valuation of financial instruments; revenue recognition; taxation (multiple jurisdictions, uncertain tax positions, deferred tax assets).
- → SM TYK 2: revenue recognition with discounts/rebates + procedures (read policy vs Ind AS 115, test controls, cut-off with confirmations) → **KAM**.

> **Examiner's twist:** Audit Committee asks to drop a KAM to avoid "negative publicity" → not a ground; the only exceptions are law precluding disclosure or extremely rare adverse consequences outweighing public interest. Unlisted company → KAM only if auditor decides or law requires. Disclaimer → no KAM section. A matter needing a qualified opinion → Basis for Qualified Opinion, not KAM.

SA 705 — Modified opinions

Asked: Jan 2026 Q1(a); Jan 2026 MCQ CS-1 Q1; MTP May 2025 S-11 1(b)

- → Modify when: (a) FS as a whole **not free** from material misstatement; or (b) **unable** to obtain SAAE to conclude they are free.
- → Type depends on (a) **nature** of matter (misstated vs may be misstated) and (b) **pervasiveness**.
- → **Pervasive:** not confined to specific elements/accounts/items; or if confined, represents/could represent a **substantial proportion**; or for disclosures, **fundamental** to users' understanding.
- → Disclaimer also when, in **extremely rare** circumstances with **multiple uncertainties**, opinion not possible due to potential interaction and cumulative effect, even though SAAE on each.

Nature	Material, not pervasive	Material and pervasive
FS materially misstated	**Qualified** — "except for the **effects** of..."	**Adverse** — "because of the significance... do not present fairly / do not give a true and fair view"
Inability to obtain SAAE	**Qualified** — "except for the **possible effects** of..."	**Disclaimer** — "We do not express an opinion..."; "We were engaged to audit..."

- → **Management-imposed limitation after acceptance:** request removal → if refused, communicate with TCWG (unless all TCWG manage) and try **alternative procedures** → still unable: material not pervasive = qualify; material and pervasive = **withdraw** where practicable and possible under law, else **disclaim**. Before withdrawing, communicate to TCWG misstatements that would have caused modification.
- → **SEBI circular CIR/CFD/CMD1/114/2019 (18 Oct 2019)** — listed: resign within 45 days of quarter-end → issue report for that quarter; after 45 days → that quarter **and next**; limited review issued for all three quarters → issue **annual** audit report before resigning. ICAI: auditor of **unlisted** company shall not cite "professional pre-occupation"; state reasons clearly.
- → Adverse/disclaimer on FS as a whole → no unmodified opinion on a single statement or element in same report.
- → **Basis section:** heading "Basis for Qualified/Adverse/Disclaimer of Opinion"; specific amounts → describe and **quantify** (or say not practicable); narrative disclosures → explain how misstated; **non-disclosure** → discuss with TCWG, describe omitted info, include omitted disclosures if practicable and SAAE obtained (unless law prohibits); inability → reasons. Qualified/adverse → amend sufficiency statement to add "qualified"/"adverse". Also describe other matters that would have required modification, even with adverse/disclaimer.
- → **Disclaimer omits:** reference to auditor's responsibilities section; statement on sufficiency of evidence. Auditor's responsibilities reduced to: duty to audit per SAs and issue report; not able to obtain SAAE because of the matters; independence/ethics statement. No KAM section (unless law requires).
- → Communicate expected modification and its **wording** to TCWG.

SM Illustration	Facts	Opinion
3	Financing about to expire; notes incomplete on impact/refinancing	Qualified (inadequate MU disclosure, not pervasive)
4	Financing expired, considering bankruptcy, no disclosure	Adverse
5	No access to JV = over 90% of net assets (95 crores)	Disclaimer
6	No loan agreement for 55,00,000 loan	Qualified — "possible effects"
7	Earthquake, MU not disclosed	Adverse
8	Debtors 150 crores unconfirmed, provision 25 crores inadequate; inventory 40% of total assets unverifiable	Disclaimer (multiple elements)

Examiner's twist: *facts say "auditor obtained evidence* ***inconsistent*** *with affirmations" → misstatement → qualified/adverse,* ***not*** *disclaimer (disclaimer needs inability). Facts say "management refused access" → inability → qualified/disclaimer,* ***never adverse****. Note: "subject to" and "with the foregoing explanation" are not sufficiently clear — use "except for".*

SA 706 — Emphasis of Matter and Other Matter

Asked: Sep 2025 MCQ CS-I Q2, CS-III Q11; Jan 2026 MCQ CS-I Q4; May 2026 Q1(b)

- → ***EOM:*** *refers to matter* ***appropriately presented or disclosed*** *in FS, of such importance it is* ***fundamental*** *to users' understanding. Conditions: (a) no modification required under SA 705 for the matter; (b) when SA 701 applies, matter not determined to be KAM.*
- → *EOM mechanics: separate section with heading including "Emphasis of Matter"; clear reference to matter and where disclosed in FS; refer* ***only*** *to information presented/disclosed; state opinion* ***not modified****.*
- → ***EOM examples (SM):*** *uncertainty on outcome of* ***exceptional litigation or regulatory action****;* ***significant subsequent event*** *between FS date and report date;* ***early application*** *of a new accounting standard with material effect;* ***major catastrophe*** *with significant effect on financial position. Also: FRF prescribed by law that would otherwise be unacceptable; special purpose framework alert; new/amended report under SA 560.*
- → ***OMP:*** *matter* ***not*** *presented/disclosed in FS, relevant to understanding of the* ***audit, auditor's responsibilities or report****. Conditions: (a) not prohibited by law/regulation; (b) when SA 701 applies, not a KAM. Heading "Other Matter". SM example: branches audited by branch auditors (5 branches, total assets 90 crores, revenue 40 crores); prior year audited by another auditor.*
- → *Communicate expectation and* ***wording*** *of EOM/OMP to TCWG.*
- → *EOM is not a substitute for: modified opinion; required FS disclosures; SA 570 MU reporting.*
- → *EOM placement: directly before or after KAM section, as per relative significance (A16). Widespread use of EOM diminishes effectiveness; EOM is not a substitute for KAM description.*

Item	Matter in FS?	Evidence / misstatement	Opinion	Key test	Trigger words → which one
KAM (SA 701)	Usually	SAAE; no modification needed	Unmodified (can coexist with modified for other matters)	Required **significant auditor attention**; most significance	"listed", "complex estimate", "significant risk", "how we addressed"
EOM (SA 706)	**Yes**, appropriately	SAAE; no misstatement	Not modified for it	**Fundamental** to users; not a KAM	"draw attention", "fire / flood / litigation disclosed", "early adoption"
OMP (SA 706)	**No**	—	Not modified for it	Relevant to audit / responsibilities / report	"branch auditors", "predecessor", "not disclosed in FS or Board's report"
MUGC (SA 570)	Yes, adequately	MU on GC exists	Unmodified	Separate MUGC section, not EOM	"material uncertainty", "significant doubt", "adequately disclosed"
Qualified (SA 705)	Misstated or unsupported	Misstatement / inability	Modified	Material, not pervasive	"not provided", "departure from AS", "inadequate disclosure"
Adverse / Disclaimer	—	Misstatement / inability	Modified	Material **and** pervasive	"over 90% of net assets", "multiple elements", "bankruptcy, no disclosure"

Notes to accounts	Qualification
Management's stand on a matter	Auditor's disagreement, stated from auditor's standpoint
A reference to notes in the report does not automatically become a qualification	All qualifications must be in the report itself, clear and unambiguous, with reasons; "except for", not "subject to"

Examiner's twist: SM TYK 3 — ₹500 crore claims receivable, auditor relied only on management representation and plans EOM → wrong: WR alone is not SAAE; procedures may lead to modification, and EOM presupposes SAAE. ICAI pattern: "matter not in FS or Board's report" → **OMP** (Sep 2025). Flood losses disclosed → EOM; records destroyed, material not pervasive → qualified (SM TQ 19).

Beyond the SM (practical): ICAI's Jan 2026 MCQ key gave EOM where management refused to disclose pending litigation; SA 706 in the SM requires the matter to be appropriately disclosed for EOM — if a descriptive asks this, state the SA 706 condition and the SA 705 route for non-disclosure.

Report vs certificate; shareholders vs TCWG

Point	Report	Certificate
Nature	Expression of **opinion**, after enquiry/examination; judgment involved	Confirms **accuracy of facts**; no estimate/opinion (e.g. newspaper circulation, imports/exports, s.66 capital reduction certificate to Tribunal)
Responsibility	Opinion based on facts with due care and skill	Factual accuracy
Example	S.143 report (opinion-based, **not** a certificate)	S.66 Companies Act

Reporting to shareholders	Reporting to TCWG
S.143; statutory report addressed to members; true and fair view in prescribed format; public domain	SA 260; scope, timing, findings, modifications; internal (private) document

→ **SA 260 matters:** auditor's responsibilities (opinion on FS prepared by management under TCWG oversight; audit does not relieve them); planned scope and timing incl. significant risks; significant findings — qualitative aspects of accounting practices, significant difficulties, (unless all TCWG manage) significant matters discussed with management and WR requested, circumstances affecting form/content of report, other significant matters. All TCWG involved in managing → need not communicate again in governance role.

SA 710 — Comparative information

Point	Corresponding figures	Comparative financial statements
Opinion refers to	**Current period only**	**Each period** presented
When opinion refers to prior figures	Only if prior report was other than unqualified (matter unresolved) or prior-period material misstatement not addressed earlier	Always (each period)
Opinion on prior period now differs from earlier opinion	—	Disclose substantive reasons in **Other Matter** paragraph
Misstatement found in prior FS audited earlier	Modify (if not addressed)	Report to appropriate management level, request predecessor be informed; if amended with new predecessor report → report only on current period
Common: predecessor audited prior year	If permitted and auditor decides to refer: state prior FS audited by predecessor, **type** of opinion, **date** of that report	
Common: prior year unaudited	State in **Other Matter** paragraph that figures are unaudited; still need SAAE that **opening balances** have no material misstatement	

→ Procedures: agree comparatives to prior-period amounts/disclosures; consistency of policies; changes properly disclosed; possible misstatement → procedures; prior FS audited by same auditor → SA 560; **WR** for all periods + specific WR on any prior-period item disclosed.

→ Prior qualification **resolved** and properly accounted/disclosed → current opinion need not refer to it. **Unresolved** → modify current opinion; Basis section: refer to both current and corresponding figures if current effect material; otherwise explain modification due to effect on **comparability** (SM TQ 11: 70 lakh diminution).

SA 720 — Other information

→ Other information = financial or non-financial info (other than FS and report) in the **annual report**. Not applicable to **preliminary announcements** and **securities offering documents / prospectuses**.

→ **Objectives:** consider material inconsistency with (a) FS, (b) auditor's knowledge; (c) respond appropriately; (d) report.

→ **Obtaining:** determine documents and timing; arrange to obtain final version, if possible before report date; if available only later → request **WR** that final version will be provided before issuance.

→ **Reading:** compare selected amounts/items with FS; consider consistency with knowledge; remain alert for other misstatements. If inconsistency → discuss and conclude whether OI misstated, FS misstated, or understanding needs updating.

OI misstated — management refuses → TCWG still refuses	Action
*Obtained **before** report date*	*Consider implications for report and communicate with TCWG how auditor will address it; **withdraw** where possible under law*
*Obtained **after** report date*	*If corrected → necessary procedures; if not → appropriate action considering legal rights and obligations to bring it to **users' attention***
FS misstated / understanding to update	*Respond under other SAs*

→ ***"Other Information" section required when:*** *listed — obtained **or expects to obtain** OI; unlisted corporate — obtained **some or all** OI. Contents: management responsible; identify OI obtained before report (and for listed, expected after); opinion does not cover OI, no assurance; auditor's responsibilities; if obtained before report — "nothing to report" or description of uncorrected misstatement. Qualified/adverse → consider implications for this statement.*

→ *SM TQ 17: market-price trend item in annual report contradicts FS margins → partner wrong; SA 720 applies.*

Examiner's twist: *SA 720 never changes the opinion on the FS by itself — the OI misstatement is described in the Other Information section. Trap option "qualify the opinion because Directors' report is wrong" is wrong unless the FS themselves are misstated.*

SA 800, 805, 810 — Special purpose, single statements, summary FS

SA 800 vs SA 805 vs SA 810 — which SA is asked

Point	SA 800	SA 805	SA 810
Deals with	Audit of FS under **special purpose framework**	Audit of a **single FS** or a **specific element, account or item**	Report on **summary FS** derived from FS audited by **that same auditor**
Engagement	Audit (reasonable assurance, SA 700 opinion)	Audit; adapt all relevant SAs	Not a fresh audit; procedures to compare/evaluate summary vs audited FS
Opinion wording	SA 700 (true and fair / present fairly / prepared in accordance)	Form depends on framework; consider "presents fairly / true and fair" acceptability	"**consistent, in all material respects, with**" or "**a fair summary of**" the audited FS, per applied criteria
Who may do it	Any auditor (also the statutory auditor — TYU 1)	Any auditor; harder if not auditing complete set (practicability)	**Ordinarily only** the auditor of the underlying FS
Trigger words	"cash basis", "regulator's provisions", "bond indenture / loan agreement / grant", "contract"	"cash flow statement only", "trade receivables schedule", "inventory", "net tangible assets", "bonus schedule"	"abridged", "summary", "derived from audited FS", "AGM brochure"

→ Element in a special purpose framework → apply **both SA 800 and SA 805** (TYU 3). SA 805 does **not** apply to a component auditor's report for group audit. SA 800/805 do not override other SAs.

2.1 Special purpose framework

→ Framework designed to meet financial information needs of **specific users** (vs general purpose — common needs of a **wide range** of users). May be fair presentation or compliance framework.

→ Examples: **cash basis** and cash flow information for creditors; **regulator's provisions**; **contract** provisions (bond indenture, loan agreement, project grant).

2.2–2.3 SA 800 acceptance, planning, performance

→ Intended users' information needs = key factor in framework acceptability. Standards by an authorised/recognised organisation with transparent process → **presumed acceptable**; regulator-prescribed → presumed acceptable absent contrary indications; supplemented by law → SA 210 conflicts check. Contract framework → test the **attributes** of acceptable frameworks; relative importance is judgment (very prudent receivable allowances agreed by buyer and seller — not neutral, still acceptable for their needs).

→ SA 320: materiality based on **intended users'** needs. SA 315: understand **significant interpretations of the contract** (significant = another reasonable interpretation would give a material difference).

→ Management-users agreed threshold below which misstatements are not corrected → **does not relieve** the auditor from determining materiality per SA 320.

→ SA 260: persons overseeing special purpose FS may differ from TCWG for GPFS.

2.4–2.6 SA 800 reporting

→ Apply SA 700. Contract basis → evaluate whether FS adequately describe **significant interpretations** of the contract.

→ Report also: (a) **purpose** and, if necessary, intended users (or refer to note); (b) management's choice of frameworks → responsibility for **determining framework acceptable**; (c) if KAMs communicated → **SA 701 applies in its entirety**; (d) SA 720 applies where a report to owners/similar stakeholders accompanies the FS ("similar stakeholders" includes the specific users); (e) **OMP** may refer to the report on GPFS (e.g. its Material Uncertainty Related to Going Concern section).

Alert vs restriction	Required?	Content
Alert on basis of accounting	**Required** — Emphasis of Matter paragraph in a separate section headed with "Emphasis of Matter" (SA 706)	FS prepared under a special purpose framework; may not be suitable for another purpose
Restriction on distribution or use	**Optional** — auditor "may consider it appropriate", subject to law	Report intended solely for specific users; not to be distributed to/used by others; alert para expanded and heading modified

Examiner's twist: A story about a loan-agreement audit, then "how will she ensure the report is not misused?" (TYU 2) → answer is **restriction on distribution or use**, with the draft para ending "Our opinion is not modified in respect of this matter". Students write only the alert; that is the half that was already in the draft.

3 SA 805 — single FS and elements

Asked: MTP Nov 2026 S-11 1(c)

→ **Single FS**: e.g. cash flow statement. **Element**: element, account or item — e.g. trade receivables, cash and bank. Both include related notes.

→ SM examples of elements: receivables, allowance for doubtful debts, inventory, pension benefit liability, intangibles, IBNR claims; schedules of externally managed pension assets, **net tangible assets**, disbursements on lease property, profit participation or **employee bonuses**.

→ **Acceptance:** SA 200 compliance applies whether or not auditor audits the complete set. If not auditing the complete set → determine whether audit per SAs is **practicable** (less understanding of entity/IC; no evidence on general quality of records; may need further corroboration). Certain SAs may be **disproportionate** (SA 570 for a receivables schedule). Not practicable → discuss another type of engagement.

→ Framework acceptability includes whether presentation gives **adequate disclosures** for users to understand the information and effect of material transactions.

→ **Planning/performing:** adapt all relevant SAs. **SA 240, SA 550, SA 570** relevant in principle even for one element (fraud, RPTs, going concern basis). Interrelated items → procedures beyond the element. **Materiality may be lower** than for complete set → affects NTE and uncorrected misstatements. May use evidence from the complete-set audit.

→ **Form of opinion** (agreed in terms per SA 210): factors for "presents fairly / true and fair" — whether framework is restricted to complete sets; whether the statement/element complies fully with relevant requirements with disclosures; whether extra disclosures or departures are needed; general acceptance in the jurisdiction.

Examiner's twist: MTP: bank wants a report on ₹18 crore receivables for drawing power; the auditor already audits the complete set. The ask is "planning and performing considerations" — not acceptance. Score: adapt all SAs; SA 240/550/570 relevant; interrelated items; **lower materiality**; may use evidence from the main audit but still plan for sufficient evidence on the element; separate opinion.

3.6 SA 805 forming opinion and reporting

→ Apply SA 700 (and SA 800 when applicable), adapted. Going concern descriptions adapted. **KAM**: SA 700 requires KAMs per SA 701 for audits of complete sets of GPFS of **listed entities**. SA 720 applies where a report to owners accompanies the statement/element. Signed in personal name (and firm name), membership number, FRN.

→ With complete-set audit → **separate opinion for each engagement**. Published together → presentation must be differentiated; else ask management to rectify; **do not issue** until satisfied.

→ Report on complete set contains modified opinion, EOM/OMP, MURGC section, or uncorrected misstatement of OI → consider implications. Factors: nature of matter and relation to the element; pervasiveness; framework differences; period differences; time elapsed. (Qualification on receivables → likely implications for receivables audit; on long-term debt classification → less likely for P&L or receivables.) May refer in **OMP** even if no implications.

Adverse/disclaimer on complete set — can you give an unmodified opinion on…	Answer
…an element, in the **same** report	**No** — SA 705 does not permit (would contradict)
…an element, in a **separate** audit	**Yes, only if** (a) not prohibited by law; (b) report **not published together** with the adverse/disclaimer report; (c) element is **not a major portion** of the complete set
…a **single FS** (e.g. P&L), even separate and not published together	**No** — a single FS is deemed a major portion
Disclaimer on results of operations and cash flows + unmodified on state of affairs in the complete-set report	**Permitted** — disclaimer is not on FS as a whole

4 SA 810 — summary FS

Asked: Sep 2025 Q5(a); Jan 2026 Q4(a); May 2024 Q1(c)

→ Summary FS: historical information **derived from** FS with less detail, still a structured representation consistent with the FS.

→ Accept **ordinarily only** if engaged to audit the underlying FS (else lacks knowledge).

→ **Before accepting:** (a) applied criteria acceptable; (b) management acknowledges responsibility to (i) prepare per applied criteria, (ii) make audited FS **available without undue difficulty** (or describe the law that says otherwise), (iii) include auditor's report in any document with summary FS that says auditor reported; (c) agree **form of opinion**.

→ **Applied criteria factors:** nature of entity; purpose of summary FS; information needs of intended users; whether criteria result in summary FS that are **not misleading**. Criteria set by recognised body or law → may presume acceptable; else developed by management (industry practice).

→ Criteria unacceptable or no agreement → do not accept unless law requires; then not "in accordance with SA 810"; mention in terms; consider effect on the main audit. Disclosure example title: "Summary financial statements prepared from the audited financial statements for the year ended March 31, 20XX".

→ "Without undue difficulty" factors: summary FS say from whom/where audited FS available; audited FS on public record; process for ready access.

4.3 SA 810 procedures (a)–(g)

Asked: Sep 2025 Q5(a)

→ (a) Adequately disclose **summarised nature** and identify audited FS. (b) Not accompanied by audited FS → describe clearly from whom/where available, or the law. (c) Adequately disclose **applied criteria**. (d) **Compare** — agree with or can be **re-calculated** from audited FS. (e) Prepared per applied criteria. (f) Contain necessary information at appropriate **aggregation** so as not to be misleading. (g) Audited FS available without undue difficulty.

4.4–4.5 SA 810 opinion and report

→ Unmodified: "consistent, in all material respects, with the audited FS, per applied criteria" **or** "a fair summary of the audited FS, per applied criteria". Law prescribes different wording → apply procedures; evaluate whether users might misunderstand; additional explanation cannot mitigate → do not accept (unless law requires; then no SA 810 reference).

→ Elements (a)–(m): title (independent auditor) · addressee (different from main report → evaluate: terms, nature of entity, purpose) · identification of summary FS (page numbers if in a larger document) · identification of audited FS · opinion · statement: summary FS do not contain all disclosures; reading them is **not a substitute** for reading audited FS and report · if required, statement that neither reflects **events after the date of the audit report** · **reference to the audit report, its date and that an unmodified opinion was expressed** · management responsibility (per applied criteria) · auditor responsibility (per SA 810) · signature, FRN, membership no., **UDIN** · date · place.

→ **Date** no earlier than (i) sufficient evidence incl. summary FS prepared and responsibility taken; and (ii) **date of the audit report** on audited FS. Dated later → state that summary FS and audited FS do not reflect subsequent events (TYU S: 15 June / 15 July). No need for additional audit evidence on audited FS. Facts that existed at audit-report date found later → do not issue until SA 560 consideration completed.

4.6 SA 810 — what the summary report adds when the audit report is modified

Asked: Jan 2026 Q4(a)

Audit report on audited FS contains	Summary FS report — opinion	Summary FS report — add
Qualified opinion, EOM, OMP, MURGC, KAM, or uncorrected misstatement of OI (and summary is consistent/fair summary)	Unmodified opinion on summary FS possible	(a) State that audit report includes that item; (b) describe: basis for qualification and effect on summary FS / the EOM-OMP-MURGC matter and effect / the OI misstatement and effect on information in the document
Adverse opinion or **disclaimer**	**No opinion** — inappropriate to express one	State audit report has adverse/disclaimer; describe its basis; state that as a result it is inappropriate to express an opinion on summary FS
(Summary FS itself) not consistent / not fair summary and management will not change	**Adverse** opinion on summary FS	—

Examiner's twist: Three different "adverse" situations sit close together. Adverse **on the audited FS** → no opinion on summary FS. Summary FS **itself** inconsistent → adverse opinion on summary FS. SA 805: adverse on complete set → separate element opinion possible only with three conditions. Read whose report is adverse.

4.7–4.12 Other SA 810 rules

- → ***Restriction/alert*** *in audit report → include similar restriction or alert in summary report.*
- → ***Comparatives*** *omitted → reasonable? effect if unreasonable. Comparatives reported by* ***another auditor*** *→ include SA 710 matters.*
- → ***Unaudited supplementary information*** *not clearly differentiated → ask management to change; refused → explain in report that it is* ***not covered***.
- → ***Other information in document***: *read; material inconsistency → discuss; refused → appropriate action incl. implications for report.*
- → ***Association***: *document says auditor reported but omits report → request inclusion; else prevent inappropriate association. Auditor not engaged on summary FS but referred to → reference only in context of audit report and no impression of reporting on summary FS; else request change/deletion or engagement; else advise disagreement and act.*
- → *SM case (mutual fund abridged FS under SEBI format): criteria* ***may be presumed acceptable***; *responsibility para cites SA 810; opinion "fair summary of those FS, and in accordance with the accounting policies and standards specified in SEBI regulations and GAAP in India to the extent applicable";* ***KAM*** *usually not an element of the summary report.*

SA SRE 2400 and SRE 2410 — Review engagements

I What is a review · 1.1 Standards on Review Engagements

→ "Review" = **limited assurance** engagement: engagement risk reduced to a level acceptable in the circumstances but **greater than** for reasonable assurance; evidence at least sufficient for a **meaningful** level of assurance (likely to enhance intended users' confidence).

→ Fewer procedures than audit, yet **sufficient appropriate evidence** is still gathered; limited conclusions drawn. Subject matter = historical financial information, as in an audit.

→ Two SREs: **SRE 2400** Engagements to Review Historical Financial Statements; **SRE 2410** Review of Interim Financial Information Performed by the Independent Auditor of the Entity. SREs are Engagement Standards → firm is subject to **SQC 1**.

SRE 2400 vs SRE 2410 — the first filter in every review question

Point	SRE 2400	SRE 2410	Trigger words → which one
Who performs	Practitioner who is **not the auditor** of the entity's FS	**Independent auditor** of the entity (audit client)	"also statutory auditor", "quarterly results of listed co. (SEBI Reg 33)" → 2410; "lender / contract / not the auditor" → 2400
Subject	Historical FS (general or special purpose framework)	Interim financial information: complete or condensed set for a period **shorter than the financial year**	"quarter", "half-year", "interim" + auditor → 2410
Assurance wording	Limited assurance	Reduce to a **moderate level** the risk of an inappropriate conclusion	"moderate level" → 2410 objective
Main procedures	Primarily **inquiry and analytical procedures**; additional procedures if FS may be materially misstated	Inquiries (primarily of persons responsible for financial and accounting matters), **analytical and other review procedures**	"other review procedures" → 2410
Understanding	Obtain understanding of entity, environment and framework	**Updates** understanding from prior audit (reads prior audit/review documentation etc.)	"already well-versed, update" → 2410
Report	Practitioner's report; Conclusion paragraph; reference to SRE 2400	Review report; statement that review done per SRE 2410; membership no. + FRN	Both: UDIN required

2.1 SRE 2400 objectives

→ (a) Obtain limited assurance, primarily by inquiry and analytical procedures, whether FS as a whole are free from material misstatement → express conclusion whether anything has come to attention that FS are not prepared, in all material respects, per AFRF.

→ (b) Report on FS as a whole and communicate. When limited assurance cannot be obtained and a modified conclusion is insufficient → **disclaim** or, where appropriate, **withdraw** (if possible under law).

→ SM TYU 1: FS under a contract's reporting provisions (special purpose framework) **can** be reviewed under SRE 2400.

2.2 Acceptance — do NOT accept (unless required by law) if

Asked: Nov 2024 Q1(c)

→ (a) Not satisfied: (i) **rational purpose** exists — no rational purpose if significant scope limitation, suspected inappropriate association of name, or **law requires an audit**; (ii) review is **appropriate** — may recommend audit, or compilation/other accounting service.

→ (b) Ethics incl. **independence** will not be satisfied. (c) Information likely unavailable or unreliable. (d) Doubt on management integrity likely to affect review. (e) Management/TCWG impose a scope limitation that will result in a **disclaimer**.

2.3 Preconditions

Asked: Nov 2024 Q1(c)

→ (a) Framework acceptable (for special purpose FS: understand purpose and intended users).

→ (b) Management acknowledges responsibility for: (i) preparation per AFRF incl. fair presentation; (ii) internal control necessary for FS free from material misstatement (fraud or error); (iii) providing **access** to all information, **additional information** requested, **unrestricted access to persons**.

→ Not satisfied → discuss with management/TCWG → if no change, do not accept unless law requires; then engagement **does not comply** with SRE → **no reference** to SRE in report.

→ Discovered after acceptance → discuss and determine: (a) can it be resolved; (b) continue?; (c) whether and how to communicate in report.

2.4 Terms; materiality; procedures

→ Terms agreed **prior** to performing; recorded in engagement letter or other written form. Recurring: evaluate revision, remind. Request to change to a **no-assurance** engagement → only with **reasonable justification**; new terms recorded in writing.

→ **Materiality:** determined for FS as a whole; judgment of materiality is the **same regardless of level of assurance**; revise if information would have caused a different amount.

→ Design inquiry and AP (a) to address **all material items incl. disclosures**; (b) focus on areas where misstatements are likely. May read a significant contract — other procedures do not change the limited-assurance objective.

Inquiry vs analytical procedures in a review (SRE 2400)

Asked: Jan 2026 Q2(c)

Inquiry — importance	Analytical procedures — assist the practitioner in
Often the **principal source** of evidence about **management intent**; if support for intent is limited, look at management's past history of carrying out intentions, stated reasons, and ability to pursue the action. Professional skepticism in evaluating responses. Also helps obtain/update understanding to identify areas of likely misstatement. Inquiries cover: estimates, related parties, significant/complex/unusual transactions, fraud, subsequent events, going concern basis, commitments/contingencies, non-monetary or no-consideration transactions; may include meetings of owners/TCWG, regulator communications, non-financial data.	(1) Obtaining or updating understanding of entity and environment to identify areas of likely misstatement; (2) identifying **inconsistencies or variances** from expected trends, values or norms (congruence with key data incl. KPIs); (3) providing **corroborative evidence** for other inquiries/AP; (4) serving as **additional procedures** when FS may be materially misstated (e.g. comparing monthly revenue and cost across profit centres/branches). Consider whether accounting data is adequate for AP.

Examiner's twist: The Jan 2026 question spent the story on "unlike an audit, a review relies on inquiry and AP" and asked only how **AP assist**. Write the four AP points, not the inquiry list. If asked "why inquiry is important", lead with "principal source of evidence about management intent".

Specific circumstances (SRE 2400)

- **Related parties:** stay alert for undisclosed RPs; significant transactions outside normal course → inquire nature, RP involvement, business rationale.
- **Fraud / NOCLAR:** communicate to appropriate senior management or TCWG; request management's assessment of effects; consider effect on conclusion; determine any duty to report outside the entity.
- **Going concern:** inquire plans and feasibility and whether they will improve the situation; evaluate responses (basis for GC presentation / FS misstated or misleading); consider in light of all information.
- **Work of others:** take steps to be satisfied that work of other practitioner/expert is adequate. Group review → procedures directed at group FS.

Additional procedures when FS may be materially misstated

- Design additional procedures to (a) conclude matter **not likely** to cause material misstatement, or (b) **determine** it does cause material misstatement.
- May be more detailed inquiry/AP, or **other types: substantive tests of details, external confirmations**.
- SM receivables example: past-due debts, no allowance → inquiry → (a) not misstated: stop; (b) misstated: stop, conclude FS materially misstated; (c) still doubtful → request analysis of **after-date receipts**. If neither (a) nor (b) reached → **scope limitation** → no unmodified conclusion.

Subsequent events (SRE 2400)

- Events up to report date needing adjustment/disclosure → request management to correct.
- **No obligation** to perform procedures after report date. Fact known after report date but before issue → discuss; determine if amendment needed; inquire how management will address. Report already given and no amendment → notify management and TCWG not to issue to third parties; issued anyway → act to **prevent reliance**.

Written representations — SRE 2400 vs SRE 2410

Asked: Sep 2025 Q6(b); May 2026 Q4(b)

SRE 2400 (non-auditor reviewer)	SRE 2410 (auditor reviewing interim)
Mandatory: (a) management fulfilled responsibility for preparation incl. fair presentation and gave all information and access; (b) **all transactions recorded**. **Also disclosed:** related parties; frauds/suspected frauds; NOCLAR; going concern information; subsequent events adjusted/disclosed; material commitments/contingencies; material non-monetary/no-consideration transactions. Public statements by management required by law may cover some reps.	Management: (a) responsible for design and implementation of IC to prevent and detect fraud and error; (b) interim FI prepared and presented per AFRF; (c) **uncorrected misstatements immaterial** (summary attached); (d) disclosed frauds/suspected frauds; (e) disclosed **results of its fraud risk assessment**; (f) disclosed actual/possible NOCLAR; (g) disclosed significant subsequent events **up to date of review report**.

- **Reps not provided (SRE 2400):** (a) discuss with management/TCWG; (b) **re-evaluate integrity** and effect on reliability of oral/written reps and evidence; (c) take actions incl. effect on conclusion.
- **Disclaim or withdraw** (if permitted by law) if: (a) doubt on integrity makes reps unreliable; or (b) the **responsibility reps** (preparation of FS; all transactions recorded) are not given.

Examiner's twist: Sep 2025 Q6(b) said management "merely stated" interim FI is prepared per AFRF — that is only rep (b). The ask is the **full SRE 2410 list (a)–(g)**. Do not write the SRE 2400 list for an interim review by the auditor; the "uncorrected misstatements immaterial" and "fraud risk assessment results" points belong to 2410.

Evidence, scope limitation and withdrawal (SRE 2400)

- → Evidence insufficient → extend work or other procedures; if impracticable → effect on report or on ability to complete (e.g. management member unavailable for inquiries on significant matters). Discuss limitation with management/TCWG.
- → **Inability to perform a specific procedure ≠ scope limitation** if evidence is obtained by other procedures.
- → **Withdraw** when all three: (a) scope limitation imposed by management **after acceptance** → no sufficient evidence; (b) possible effects **material and pervasive**; (c) withdrawal possible under law.
- → Forming conclusion: consider uncorrected misstatements (this **and previous year's** review), qualitative aspects incl. management bias; for fair presentation framework, overall presentation and whether FS achieve fair presentation.

SRE 2400 conclusions — the modification grid

Situation	Material, not pervasive	Material and pervasive	Key words in the paragraph
FS materially misstated	**Qualified**: "except for the **effects** of the matter(s)..."	**Adverse**: "due to the significance... FS do not give a true and fair view / are not prepared..."	Basis para: quantify effects (unless impracticable — say so); explain misstated narrative; describe omitted info and include it where practicable
Unable to obtain sufficient appropriate evidence	**Qualified**: "except for the **possible effects**..."	**Disclaimer**: unable to obtain evidence; "does not express a conclusion"	Basis para: reasons for the inability
Unmodified (no modification needed)	"Based on our review, nothing has come to our attention that causes us to believe that the FS do not give a true and fair view..." (fair presentation framework)	"...are not prepared, in all material respects, in accordance with the AFRF" (compliance framework)	Negative form of words

- → Headings: "Qualified Conclusion / Adverse Conclusion / Disclaimer of Conclusion"; basis paragraph **immediately before** the conclusion paragraph.
- → **EOM** (matter presented/disclosed, fundamental to understanding; only if evidence shows it is not likely materially misstated) — immediately **after** conclusion. **OMP** — matter not presented/disclosed, relevant to understanding of review/responsibilities/report.
- → Other reporting responsibilities → separate section "Report on Other Legal and Regulatory Requirements" after "Report on the Financial Statements".

SRE 2400 report elements (a)–(m)

- → Title (independent practitioner, review engagement) · addressee · introductory para (FS identified, policies referred, FS reviewed) · management responsibility (preparation, IC) · special purpose FS: purpose/intended users; choice of frameworks → responsibility to determine acceptability · practitioner's responsibility incl. reference to SRE · **description of a review and its limitations** · Conclusion para (with framework) · modified: conclusion + basis paragraphs · reference to **ethical requirements** · **date** · signature · place.
- → Three limitation statements: (1) limited assurance engagement; (2) procedures primarily inquiries of management and others and AP, and evaluation of evidence; (3) procedures **substantially less** than an audit → no audit opinion.
- → **Date** no earlier than sufficient evidence obtained, incl. all statements and notes prepared and those with authority have taken responsibility.
- → **Documentation** (sufficient for an experienced practitioner with no previous connection): NTE of procedures; results and conclusions; significant matters and judgments; **who performed and date**; **who reviewed, period and extent**; discussions with management/TCWG; how inconsistencies were addressed.

2.8 Audit vs Review

Point	Audit	Review
Assurance	Reasonable	Limited (lower than reasonable)
Procedures	Elaborate: tests of controls + substantive procedures	Fewer: primarily inquiry and AP
Conclusions	Reasonable conclusions on sufficient appropriate evidence	Limited conclusions on sufficient appropriate evidence
Output	**Opinion**, positively worded	**Conclusion**, negatively worded

Examiner's twist: "A review gathers less evidence, so sufficient appropriate evidence is not required" is **false** — SM: review gathers sufficient appropriate evidence; it is the **level of assurance** and volume of procedures that differ.

3.1 SRE 2410 objective

Asked: Sep 2025 Q3(c)

- → Enable the auditor to express a conclusion whether, on the basis of the review, anything has come to attention that interim FI is not prepared, in all material respects, per AFRF.
- → Inquiries + analytical and other review procedures to reduce to a **moderate level** the risk of an inappropriate conclusion.
- → Differs significantly from an audit: no basis for true and fair opinion; not designed for reasonable assurance; may bring significant matters to attention but **does not provide all evidence** required in an audit.

3.2–3.4 Terms, understanding, procedures (SRE 2410)

- → Terms ordinarily in an engagement letter: objective and scope, management's responsibilities, extent of auditor's responsibilities, assurance obtained, nature and form of report.
- → **Update understanding** (ordinarily): read prior year audit and prior interim review documentation; significant risks incl. **management override**; read latest annual and comparable interim FI; materiality for interim FI; corrected material and uncorrected immaterial misstatements of prior year; continuing matters like material weaknesses; current-year audit results; internal audit results; inquire management on fraud risk assessment, business changes, IC changes, preparation process and reliability of records. **Recently appointed** auditor (no annual audit yet) → obtain understanding for both annual and interim.
- → Ordinarily **no tests** of records through inspection, observation or confirmation. Procedures: read minutes; effect of prior modifications/adjustments; communicate with other auditors of significant components; inquiries (changes in policies, new transactions, uncorrected misstatements, business combinations, fair value assumptions, RPTs, commitments, contingent liabilities, **debt covenants**, transactions in last/first several days, fraud knowledge/allegations, NOCLAR); AP to identify unusual items; read interim FI.
- → **Lawyer:** ordinarily not necessary to send inquiry letter; direct communication appropriate if a matter raises doubt and lawyer may have information.
- → Agree/reconcile interim FI to general ledger or consolidating schedule and other data.
- → **Subsequent events:** inquire whether management identified all events **up to the date of the review report**; no other procedures needed for events after report date.
- → **Going concern:** inquire whether management changed its assessment; if doubt → inquire plans, feasibility, outcome; consider adequacy of disclosure. Ordinarily **not necessary to corroborate** feasibility of plans.
- → Matter questioning a material adjustment → additional inquiries/procedures (e.g. discuss sales terms with marketing/accounting; read the contract).
- → Evaluate uncorrected misstatements **individually and in aggregate**.

3.7 Accompanying (other) information

→ Read for **material inconsistency**: amendment needed in interim FI and refused → implications for report. Amendment needed in other information and refused → additional paragraph in report, or withhold report, or withdraw. Example: alternative earnings measures given excessive prominence.

→ **Material misstatement of fact** → discuss; consider whether to ask management to consult a qualified third party; refused → notify TCWG, obtain **legal advice**.

3.8 Communication ladder (SRE 2410)

Step	Material adjustment needed	Fraud / NOCLAR
1	Appropriate level of management, as soon as practicable (oral or written; oral → document)	Appropriate level of management as soon as practicable; level depends on likelihood of collusion/management involvement
2	No appropriate response in reasonable period → **TCWG**	Consider reporting to TCWG; consider implication for review
3	TCWG no appropriate response → consider (a) **modify report**; (b) **withdraw** from engagement; (c) **resign from appointment to audit annual FS**	—

Examiner's twist: SM TYU 4 (CA Seerat): CFO and audit committee both silent. The scoring line is the three options including **resigning as statutory auditor** — that option exists only under SRE 2410 because the reviewer is the auditor. It does not exist in SRE 2400.

3.9 SRE 2410 report contents

→ Title · addressee · identification of interim FI (each statement, date and period) · management responsibility ("preparation **and fair presentation**" if complete set of GPFS under fair presentation framework; otherwise "preparation and presentation") · auditor responsible for **conclusion** · review done per **SRE 2410** + consists of inquiries and analytical and other review procedures · review **substantially less in scope** than an audit, no assurance of becoming aware of all significant matters, **no audit opinion** · conclusion (true and fair wording for complete GPFS under fair presentation; otherwise "not prepared, in all material respects") · date · place · signature with **membership number** · **FRN**. **UDIN** for both SRE 2400 and 2410.

→ SM integrated case (SEBI Reg 33, Ind AS 34): addressee **Board of Directors**; "Our responsibility is to express a **conclusion**"; SRE 2410; "substantially **less in scope** than an audit... might be identified in an **audit**"; negative-form conclusion.

3.10–3.12 Modified review report (SRE 2410)

Situation	Report	Trigger words
Departure from AFRF, not corrected	Qualified (explanatory para; nature and, if practicable, effects; include missing disclosure where practicable); **adverse** if so material and pervasive that qualification is inadequate	"material adjustment should be made"
Scope limitation known before acceptance	**Do not accept**	"preliminary knowledge"
Management imposes limitation after acceptance	Request removal → refused → cannot complete; communicate reason **in writing** to management and TCWG; still communicate material-adjustment matters; if law requires a report → **disclaim** + reason (+ material adjustment matter)	"management refuses access", "regulation requires a report"
Other limitation (not management)	Ordinarily cannot complete; **rare**: confined, material not pervasive → "except for" in scope statement and **qualified** conclusion	"records destroyed for one location"
Prior year audit qualified for scope	Consider whether limitation still exists and implications	"last year's qualified opinion"
GC material uncertainty **adequately disclosed**	Add **Emphasis of Matter** paragraph (continued uncertainty also highlighted)	"fire, uninsured, disclosed appropriately" (TYU 3)
GC material uncertainty **not adequately disclosed**	**Qualified or adverse**, with specific reference to the uncertainty	GAK Ltd (TYK 6)

Examiner's twist: "Can CA Reena give a clean report if disclosure is made?" — not "clean" in the sense of no paragraph: SRE 2410 says the auditor **modifies the review report by adding an EOM paragraph**. The conclusion itself stays unmodified; say both.

3.13 Other considerations · 3.14 Documentation

- → Terms include management's agreement that if a document says FI was reviewed by the auditor, the **review report will be included**. Not included → consider **legal advice**. Modified report omitted → legal advice + possibility of **resigning** as auditor.
- → Condensed interim FI presumes users have the latest audited FS (listed entities); otherwise discuss a statement "to be read with latest audited FS"; absent it → is it misleading?
- → Documentation sufficient to support conclusion and show compliance with SRE 2410 and law.

Beyond the SM (practical): the quarterly "limited review report" filed by listed companies under SEBI Reg 33 is an SRE 2410 report by the statutory auditor.

SA SAE 3400, 3402, 3420 — Assurance engagements

1.1 Standards on Assurance Engagements

→ Subject matter other than historical FS: PFI, or non-financial matters like design and operation of internal control. SM: "level of assurance provided by these SAEs is **moderate**" (but see SAE 3402 and 3420 below — both stated as reasonable assurance).

→ SAE 3400 Examination of PFI · SAE 3402 Assurance Reports on Controls at a Service Organisation · SAE 3420 Assurance Engagements to Report on the Compilation of Pro Forma FI Included in a Prospectus.

2 SAE 3400 — PFI, forecast, projection

→ PFI: based on assumptions about events that may occur and possible actions by an entity; highly subjective; forecast, projection or combination (e.g. 1-year forecast + 5-year projection).

→ Scope: examination procedures for best-estimate and hypothetical assumptions. **Not** for PFI in general or narrative terms (e.g. MD&A), though procedures may suit. Examiner **need not be the statutory auditor**. Other SAs applied to the extent practicable.

→ Management responsible for preparation and presentation: identification and disclosure of PFI, basis of forecast, underlying assumptions.

→ Nature of assurance: evidence is future-oriented and speculative → **no opinion on whether results will be achieved**.

Point	Forecast	Projection	Trigger words
Assumptions	**Best-estimate**: events management **expects** to take place and actions it expects to take as of the date prepared	**Hypothetical** assumptions (events/actions **not necessarily expected**), or a **mixture** of best-estimate and hypothetical	"expects", "based on current trends" → forecast; "if", "assuming we win", "start-up", "major change in operations" → projection
Best-estimate definition	Assumption reflecting anticipated experience with **no provision for risk of adverse deviation**	Uses hypothetical ones alone or mixed with best-estimate	"no provision for adverse deviation" → best-estimate
Auditor's test of assumptions	Best-estimate assumptions are **not unreasonable**	Hypothetical assumptions are **consistent with the purpose**; no reason to believe **clearly unrealistic**; all significant implications included	—
SM example	CFO expects 5% sales growth next quarter (market, supply, buying pattern, season)	New product for expected market growth; new plant with 7-year profit/cash projections for term loan	—
Report caveat	Actual results likely different; variation may be material	Plus: prepared for intended use using hypothetical assumptions; readers cautioned not to use for other purposes	—

2.3 Can a CA be associated with PFI? (Clause 3, Second Schedule)

→ Misconduct if he permits his/firm's name to be used with an estimate of earnings contingent upon future transactions in a manner that may lead to the belief that he **vouches for the accuracy** of the forecast.

→ Allowed to prepare/review forecasts if report clearly states **sources of information, basis of forecasts, major assumptions**, and he does not vouch for accuracy. Same for projections.

SAE 3400: duties vs acceptance factors vs procedure matters vs presentation checks

Asked: Jan 2026 Q6(c); May 2026 Q6(a); MTP Nov 2026

Duties (2.4) — evidence whether	Acceptance (2.6) — consider	NTE of examination procedures (2.7) — matters	Presentation and disclosure (2.8) — whether
(a) Best-estimate assumptions not unreasonable; hypothetical consistent with purpose. (b) PFI properly prepared on the assumptions. (c) Properly presented; all material assumptions disclosed, saying best-estimate or hypothetical. (d) Consistent basis with historical FS, appropriate accounting principles.	Intended use · general or limited distribution · nature of assumptions · elements included · period covered. Do not accept / withdraw if assumptions **clearly unrealistic** or PFI **inappropriate for intended use**. Consider reliance on historical FI. Engagement letter.	(a) knowledge from previous engagements (b) management's competence (c) likelihood of material misstatement (d) extent PFI affected by management judgment (e) sources, adequacy and reliability of data incl. third-party industry statistics (f) **stability** of business (g) team's experience with business, industry and PFI reporting	(a) informative, not misleading (b) policies disclosed (c) assumptions disclosed, best-estimate vs hypothetical clear; uncertainty and sensitivity disclosed (d) date of preparation disclosed; management confirms assumptions as of that date (e) range basis not biased (f) change in policy from latest FS — reason and effect disclosed
Trigger: "duties / responsibilities while examining"	"before accepting", "should he decline"	"nature, timing and extent", "what will you consider in determining procedures"	"disclosure", "notes", "range", "change in depreciation policy"

→ Procedures: assess source and reliability of evidence for best-estimate assumptions (budgets, debt agreements, industry publications). Hypothetical: **all significant implications** considered — sales beyond plant capacity need investment in capacity or subcontracting cost.

Examiner's twist: MTP case: zero cost escalation against 6–8% industry inflation, and revenue from two contracts not yet bid. The story invites "give an adverse opinion". The ask was **duties** → write (a)–(d), then apply: zero escalation is a best-estimate assumption that appears unreasonable against industry data; unbid contracts are hypothetical and must be disclosed as such and be consistent with purpose. Put the opinion consequence in one closing line only.

2.9 SAE 3400 report and modifications

→ Elements (a)–(m): title · addressee · identification of PFI · reference to SAs applicable to examination of PFI · management responsible incl. assumptions · purpose/restricted distribution where applicable · examination on a **test basis** of evidence for assumptions, amounts, disclosures · **negative assurance** on whether assumptions provide a reasonable basis · **opinion** on whether properly prepared on the assumptions and presented per framework · **caveats on achievability** · date (= date procedures completed) · place · signature.

→ Range → no assurance actual results fall within range. Projection → intended use and caution against other use.

Problem found	Report
Presentation and disclosure **not adequate** (e.g. sensitive assumptions' consequences not disclosed)	**Qualified or adverse**, or withdraw
One or more **significant assumptions** do not provide a reasonable basis	**Adverse** with reasons, or withdraw
Conditions preclude necessary procedures	**Disclaimer** describing scope limitation, or withdraw

- → SM TYU 1: depreciation on proposed assets under Income-tax Act, not disclosed → not consistent with historical FS (Companies Act basis) → state it; disclosure inadequate → qualified/adverse or withdraw.
- → SM case answers: assumptions listed by **management**; projection report must state intended use **and** caution against other purposes; accuracy is **not vouched**; **UDIN mandatory**.
- → Documentation: matters important to support the report and evidence of compliance with SAE.

3 SAE 3402 — controls at a service organisation

Asked: RTP May 2024

- → Report for **user entities and their auditors** on controls at a service organisation relevant to user entities' IC over financial reporting. Complements **SA 402** (such reports give evidence under SA 402).
- → Applies only when the SO is responsible for, or able to assert about, **suitable design**. Not for: (a) reporting **only** on whether controls operated as described; (b) controls not relevant to financial reporting (production, quality control).
- → Controls at SO include aspects of user entities' information systems maintained by SO, control environment, monitoring, control activities; **exclude** controls over the SO's **own FS**. Operations/compliance controls may be relevant (payroll: late remittance → interest and penalties).
- → **User auditor** audits the user entity. **Service auditor** reports at the SO's request.
- → **Objectives**: **reasonable assurance** that description fairly presents the system; controls suitably designed; where in scope, operated effectively — throughout the period (type 1: as at a date); report accordingly.

Point	Type 1	Type 2	Trigger words
Covers	Description + **design**	Description + design + **operating effectiveness**	"operating effectiveness", "throughout the year" → Type 2
Time	As at a **specified date**	Throughout a **specified period**	"as on 31 March" → Type 1
Extra in report	Statement: **no procedures on operating effectiveness**, no opinion thereon	Separate section/attachment: **tests of controls and results**; sample size; number and nature of deviations — reported **even if** objective achieved; risk of projecting to future periods	"deviations found but objective met" → still report

- → Steps: ethics incl. **independence**; identify persons to interact; acceptance (capability; criteria suitable and available; scope not so limited as to be useless; scope change needs reasonable justification); suitability of criteria; materiality; understand system; evidence on description, design, (type 2) operating effectiveness; internal audit function; written reps; subsequent events up to report date.
- → **Written reps**: reaffirm assertion; all information and access; disclosed NOCLAR, fraud, uncorrected deviations; design deficiencies; controls not operated as described; subsequent events.
- → Report includes: CUEC statement (not evaluated; objectives achieved only with user controls); subservice organisation activities; intended only for user entities and their auditors; SO responsibilities (description, services, control objectives, design and implementation); opinion in **positive form**; date no earlier than sufficient evidence; place ordinarily the city.
- → **Modified opinion** if: description not fairly presented; controls not suitably designed; (type 2) controls did not operate effectively; or unable to obtain sufficient evidence — with clear description of all reasons.

4 SAE 3420 — pro forma FI in a prospectus

Asked: May 2025 QI(c)

- → **Reasonable assurance** on the responsible party's **compilation**; applies where required by securities law/regulation or generally accepted practice.
- → Pro forma FI = FI with adjustments to illustrate impact of an event/transaction on unadjusted FI **as if** it occurred at an earlier date. Solely illustrative; **not** actual position/performance/cash flows.
- → Compilation steps: identify source and extract unadjusted FI; make pro forma adjustments; present with disclosures. Practitioner has **no responsibility to compile**.
- → **Acceptance**: capability; criteria suitable and PFI unlikely misleading; evaluate prescribed opinion wording; modified opinion/EOM on source → does law permit use/reference; entity or **acquiree** FI never audited/reviewed → can sufficient understanding be obtained; responsible party agrees responsibility (disclose criteria if not public; compile; provide access incl. acquiree and advisors).
- → **Planning/performing**: assess criteria; materiality; understanding; evidence on **appropriateness of the source** (no audit/review report → procedures to be satisfied); **appropriate extraction**; evidence on **pro forma adjustments**: (a) illustrating impact as if at earlier date; (b) making it consistent with the reporting entity's framework and policies; evaluate presentation; read other prospectus information.
- → Written reps: all appropriate adjustments identified; compiled per criteria. Opinion phrases (equivalent): "compiled, in all material respects, on the basis of the applicable criteria" / "**properly compiled on the basis stated**". Law precludes a prospectus with modified opinion → discuss; no change → **withdraw or seek legal advice**. EOM permitted.
- → Report: not responsible for updating reports on historical FI; no audit or review of FI used; no assurance that actual outcome would be as presented.

Examiner's twist: May 2025: unaudited subsidiary FS as source, fair value adjustments, IFRS with local modifications. Ask (i) was the **source** evaluation, (ii) was what pro forma **adjustments include**. Unaudited source → "perform procedures to be satisfied the source is appropriate"; IFRS modifications → adjustment type (b), aligning to the reporting entity's framework and policies.

SA SRS 4400 and SRS 4410 — Related services

1 Related services

→ Assurance engagement: practitioner expresses a conclusion to enhance confidence of intended users **other than the responsible party** about the evaluation/measurement of a subject matter against criteria.

→ Not assurance: tax return preparation (no conclusion), consulting/advisory, and **SRS engagements** (AUP and compilation). Person doing related services **need not be the auditor**.

Audit vs review vs AUP vs compilation — the master look-alike

Point	Audit (SAs)	Review (SRE 2400/2410)	AUP (SRS 4400)	Compilation (SRS 4410)
Assurance	Reasonable	Limited (2410: risk reduced to moderate level)	**None** — users draw own conclusions	**None**
Independence	Required (SA 200 ethics incl. independence)	Required (SRE 2400: ethics incl. independence)	**Not required**, unless terms/objective require; if not independent → **state in report**	**Not applicable**; law may specify requirements or disclosure
Work	Tests of controls, substantive procedures	Primarily inquiry and AP	Procedures of an audit nature as agreed: inquiry and analysis, recomputation/comparison/clerical checks, observation, inspection, confirmations	Apply accounting and reporting expertise to assist management; **no verification** of accuracy or completeness
Output	Opinion (positive)	Conclusion (negative)	**Report of factual findings**	Compilation report — **not a vehicle** for any opinion or conclusion
Distribution	General	General	Usually **restricted** to parties who agreed procedures	As agreed in terms (intended use and distribution)
Trigger words	"true and fair"	"nothing has come to our attention"	"specified procedures", "factual findings", "confirm balances above ₹X"	"assist in preparing FS from trial balance"

2 SRS 4400 Agreed-upon procedures

Asked: Nov 2024 Q6(b)

→ **Objective:** carry out procedures of an audit nature agreed by auditor, entity and any appropriate third parties, and **report factual findings**. No assurance; non-assurance engagement.

→ May cover individual items (payables, receivables, related-party purchases, segment sales/profits), a balance sheet or even a complete set of FS.

→ **Ethics**: Code of Ethics — integrity, objectivity, professional competence and due care, confidentiality, professional conduct, technical standards. Independence as in table.

→ **Matters to agree** (with entity and ordinarily other specified parties): (a) nature — not an audit or review, no assurance; (b) stated purpose; (c) financial information to which procedures apply; (d) nature, timing and extent of specific procedures; (e) **limitations on distribution** — if in conflict with law, **do not accept**.

→ **Engagement letter includes**: listing of procedures agreed; statement that distribution is restricted to specified parties who agreed the procedures.

→ Plan the work; carry out agreed procedures; use evidence as basis for report.

Examiner's twist: *Nov 2024 had two asks in one question: "matters to be agreed" (a)–(e)* ***and*** *"matters in the engagement letter" (two bullets). Students merge them and lose half. Note the addressee: procedures are on RS Ltd's figures, but the report goes to the* ***appointing authority*** *(ATP Ltd), and distribution stays restricted to parties who agreed the procedures.*

2.4 AUP report of factual findings (a)–(o)

→ *Title · addressee (ordinarily appointing authority) · identification of specific financial or non-financial information · procedures were those* ***agreed with the recipient*** *· performed per SRS for AUP · purpose ·* ***listing of specific procedures*** *· factual findings with sufficient detail of* ***errors and exceptions*** *·* ***not an audit or review, no assurance*** *·* ***had additional procedures, an audit or review been performed, other matters might have come to light*** *·* ***restricted*** *to parties who agreed · (when applicable) relates only to elements specified,* ***not FS as a whole*** *· date · place · signature.*

→ *The four bold "scope" statements are the answer to "precautions so that readers do not misunderstand scope" (TYK 7, CA Kamna).*

→ *Documentation: matters important to support the report of factual findings and evidence of compliance with SRS and terms.*

3 SRS 4410 Compilation engagements

Asked: May 2024 Q4(b); May 2025 Q3(c); May 2026 Q1(c)

→ *Assist management with preparation and presentation of* ***historical*** *FI without obtaining assurance, and report. Non-historical or non-financial compilations → may use SRS 4410 with adaptation.* ***SQC 1 applies*** *(SRS 4410 is an Engagement Standard).*

→ *Not assurance; no need to verify accuracy or completeness, or gather evidence for an opinion/conclusion.*

→ *Purposes: mandatory periodic reporting under law; or others — internal use by management/TCWG; external parties under contract (e.g. funding body for a grant); transactional (merger, acquisition, change in ownership/financing).*

→ ***Objectives****: apply accounting and financial reporting expertise to assist management per AFRF based on management's information; report per SRS.*

→ *Management retains responsibility incl. judgments, policies and estimates (may have prepared a draft). Framework ranges from entity-specific basis to established standards.*

→ ***Ethics****: comply; identify and address threats.* ***Independence not applicable****; law may specify.*

Agreed terms (record in engagement letter before performing)	Management responsibilities to be agreed **May 2025 Q3(c)**
(a) intended use and distribution, restrictions; (b) applicable framework; (c) objective and scope; (d) practitioner's responsibilities incl. ethics; (e) management responsibilities; (f) expected form and content of report. Recurring → evaluate revision, remind.	*(i) the FI and its preparation and presentation per a framework acceptable for intended use and users; (ii) design, implementation and maintenance of IC; (iii)* ***accuracy and completeness of records****, documents, explanations and information provided; (iv)* ***judgments*** *needed, incl. those where practitioner assists*

- → **Performing:** understand business, operations, accounting system and records, and framework incl. industry application; compile using management's information; discuss significant judgments assisted; read compiled FI before completion.
- → Information incomplete/inaccurate → bring to management's attention, request corrected information. Management fails to provide → **withdraw** and inform management and TCWG of reasons.
- → Compiled FI (a) does not adequately describe framework, (b) needs amendments to avoid material misstatement, or (c) otherwise misleading → **propose amendments**; declined → **withdraw** and inform; withdrawal not possible → determine professional and legal responsibilities.
- → Obtain **acknowledgement** that management/TCWG took responsibility for the **final version**. Communicate significant matters on a timely basis.

Examiner's twist: SM case: a team member wants to verify revenue completeness "so FS are not misleading". The answer is that verification is not required — but an omission you **notice** (Rourkela expenditure) cannot be ignored; disregarding it breaches **integrity**. "Not required to look" is different from "may ignore what you saw". Kings & Co (TYK 8): partners say inventory understatement is "outside scope" → propose amendment; refused → withdraw.

3.7 Compilation report (a)–(m)

- → Title · addressee per terms · practitioner **compiled based on information provided by management** · responsibilities of management/TCWG · framework (special purpose → description or reference) · identification of FI (each element title, date or period) · practitioner's responsibilities incl. performed per SRS and **complied with ethical requirements** · what a compilation entails · explanations: not assurance → **not required to verify** accuracy/completeness; accordingly **no audit opinion or review conclusion** · special purpose framework → purpose/intended users and alert that it may not be suitable for other purposes · date · signature · place.

3.8–3.9 Quality control and documentation

Asked: May 2026 Q1(c)

- → Engagement partner responsible for (a) overall quality of each compilation engagement; (b) performance per firm's QC policies and procedures.
- → Documentation: (a) **significant matters** and how addressed; (b) record of how compiled FI **reconciles** with underlying records, documents, explanations and information from management; (c) **copy of final version** of compiled FI acknowledged by management/TCWG, and the practitioner's report. May also keep trial balance, summary of significant accounting records or other information used.

Documentation — look-alike across the group

Standard	Distinctive documentation point	Trigger words
SRE 2400	Experienced practitioner test; who performed and date; who reviewed, period and extent; discussions with management/TCWG; how inconsistencies were addressed	"review", "who reviewed the work"
SRE 2410	Sufficient and appropriate to support conclusion and show compliance with SRE and law	"interim review"
SAE 3402	Experienced **service auditor** test: NTE of procedures; results and evidence; significant matters, conclusions, judgments	"service auditor"
SRS 4400	Evidence supporting the report of factual findings and compliance with SRS and terms	"factual findings"
SRS 4410	Significant matters; **reconciliation** to management's records; **final version** acknowledged + report	"compiled", "trial balance"

Management acknowledgement — look-alike across the group

Standard	Management/responsible party acknowledges responsibility for
SRE 2400 (preconditions)	Preparation per AFRF; internal control; access to information, additional information, unrestricted access to persons
SA 810 (acceptance)	Preparing summary FS per applied criteria; audited FS available without undue difficulty; including auditor's report in any document that says auditor reported
SAE 3420 (acceptance)	Disclosing criteria if not public; compiling pro forma FI; access incl. acquiree and advisors
SRS 4410 (terms)	FI and its preparation; IC; accuracy and completeness of records provided; judgments

Examiner's twist: May 2024 Q4(b) (CA Lalit) asked three things: key issues, difference from assurance engagements, and SQC 1. The SQC 1 line is short and certain — "SQC 1 applies to all Engagement Standards; SRS 4410 is one, so it applies". The SM case also shows **SA 220 is not** the answer for a compilation.

Beyond the SM (practical): banks often ask for "certified" statements prepared by the CA; if the CA only compiled them, the report must make the no-assurance position clear.